

UGC NET Economics

Micro Economics — Previous Year Questions

235 questions from 14 papers · English only · with options · no answers

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Source: UGC NET Economics (Paper II) response sheets / question papers saved in D:\DIVYANSHU\09 UGC NET ECONOMICS\PYQ. Original question numbers are shown next to each question. Micro scope: consumer theory, demand & elasticity, production & cost, market structures, game theory, uncertainty & information, factor pricing, general equilibrium & welfare economics, externalities.

UGC NET December 2018

Q1. Who among the following has been awarded the Nobel Prize in Economics "for analysis of markets with asymmetric information"? [December 2018 · Q.51]

- (1) Richard Thaler
- (2) Paul Krugman
- (3) George A. Akerlof
- (4) Robert A. Mundell

Q2. The price elasticity of a linear supply curve through the origin is [December 2018 · Q.52]

- (1) Zero
- (2) Unity
- (3) Infinite
- (4) Less than unity

Q3. Consider the following statements about the Average Fixed Cost of a firm: [December 2018 · Q.53]

- (i) Its slope is always negative.
- (ii) Its slope is always greater than one.
- (iii) Its slope is always equal to one.
- (iv) Elasticity with respect to output is equal to one.

Choose the correct answer from the code given below:

- (1) Only (i)
- (2) (ii) and (iii)
- (3) (i) and (iv)
- (4) Only (iii)

Q4. If for the constant elasticity of substitution production function, the value of the substitution parameter (ρ) is $= -1$, the elasticity of substitution will be [December 2018 · Q.55]

- (1) Zero
- (2) Infinite
- (3) Unity
- (4) Indeterminate

Q5. The problem of adverse selection arises due to [December 2018 · Q.56]

- (1) Asymmetric information
- (2) No information
- (3) Full information
- (4) Wrong information

Q6. Consider the following statements about the law of variable proportions: [December 2018 · Q.57]

- (i) Input ratio remains unchanged.
- (ii) Ultimately the marginal and average product of variable input becomes negative.
- (iii) Effect of technological change is visible on output.

Choose the correct answer from the code given below:

- (1) (i) and (ii) are correct
- (2) Only (ii) is correct
- (3) (ii) and (iii) are correct
- (4) None of the above statements is correct

Q7. The Inada conditions are applicable to [December 2018 · Q.58]

- (1) A well-behaved investment function
- (2) A well-behaved consumption function
- (3) A well-behaved production function
- (4) A well-behaved technical progress function

Q8. Which of the following statements is/are correct about normal profit? [December 2018 · Q.59]

- (1) It is earned in the long period only.
- (2) It is earned in the short period only.
- (3) It is earned in both the long period and the short period.
- (4) It is earned only in perfect competition.

Q9. Which one of the statements about Pareto optimality is incorrect? [December 2018 · Q.60]

- (1) Consumers maximise their satisfaction.
- (2) All the factors are used in production of all the commodities.
- (3) There is perfect competition in the factor and commodity markets.
- (4) Consumers have cardinal utility functions.

Q10. An economic region of production consists of [December 2018 · Q.61]

- (1) The positively sloped portions of all isoquants
- (2) The negatively sloped portions of all isoquants
- (3) The middle of all isoquants
- (4) The highest points of all isoquants

Q11. The frequent farm loan waivers in India may give rise to the problem of [December 2018 · Q.114]

- (1) Debt Overhang
- (2) Adverse Selection
- (3) Risk Aversion
- (4) Moral Hazard

Q12. Given below are two statements, one labelled as Assertion (A) and the other labelled as Reason (R). Read the statements and choose the correct answer using the code given below.

[December 2018 · Q.135]

Assertion (A): In an oligopolistic market, there is price rigidity.

Reason (R): Rival firms match price decrease but not price increase.

- (1) Both (A) and (R) are true and (R) is the correct explanation of (A).
- (2) Both (A) and (R) are true, but (R) is not the correct explanation of (A).
- (3) (A) is true, but (R) is false.
- (4) (A) is false, but (R) is true.

Q13. If demand for a consumer is given by the function $p = 27 - 3x - x^2$ (where x = quantity demanded, p = price), the consumer's surplus at $x = 3$ is [December 2018 · Q.138]

- (1) 31.5
- (2) 32.5
- (3) 49.5
- (4) 50.5

Q14. A monopolist faces a linear demand curve $p = 100 - 4q$, while his cost function is $C = 50 + 20q$. The profit maximising output for this monopolist is [December 2018 · Q.139]

- (1) 40
- (2) 20
- (3) 10
- (4) 5

Q15. The price elasticity of demand for a good with the demand function $q = k \cdot p^{-r}$ (here p is price, q is quantity demanded and k and r are positive constants) is [December 2018 · Q.141]

- (1) 1
- (2) r
- (3) $1/r$
- (4) Not constant as the function is non-linear

UGC NET June 2019 (21 June 2019, Shift 1)

Q16. Match List-I with List-II: [June 2019 S1 · Q.51]

List - I	List - II
(a) Various combinations that a consumer can purchase	(i) Indifference map
(b) Various combinations of two commodities providing equal satisfaction to consumer	(ii) Indifference curve
(c) A set of indifference curves	(iii) Budget line
(d) Point of tangency of a budget line on an indifference curve	(iv) Consumer's equilibrium

Choose the correct option from those given below:

- (1) (a)-(i); (b)-(ii); (c)-(iv); (d)-(iii)
- (2) (a)-(iv); (b)-(iii); (c)-(i); (d)-(ii)
- (3) (a)-(ii); (b)-(iii); (c)-(iv); (d)-(i)
- (4) (a)-(iii); (b)-(ii); (c)-(i); (d)-(iv)

Q17. Which of the following statements are true regarding Cobb-Douglas production function? [June 2019 S1 · Q.52]

- (a) It is long period production function
- (b) It is short period production function
- (c) It is based on increasing returns to scale
- (d) Output elasticities with respect to factors are constant

Select the correct option:

- (1) (a) and (c)
- (2) (a) and (d)
- (3) (b) and (c)
- (4) (c) and (d)

Q18. Which of the following methods of selecting a strategy is consistent with risk averting behaviour? [June 2019 S1 · Q.53]

- (1) If two strategies have the same expected profit, select the one with smaller standard deviation
- (2) If two strategies have the same standard deviation, select the one with smaller expected profit
- (3) If two strategies have the same standard deviation, select the strategy with larger coefficient of variation
- (4) If two strategies have different expected profits, select the one with the larger standard deviation

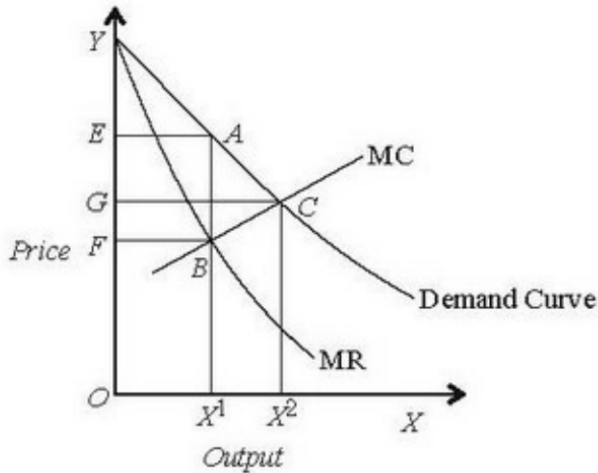
Q19. Under non-cooperative games, it is [June 2019 S1 · Q.54]

- (1) essential to understand one's opponent's point of view
- (2) not essential to understand one's opponent's point of view
- (3) essential to understand one's opponent's point of view and to deduce his likely responses accordingly
- (4) essential to understand one's opponent's likely responses

Passage / data for Q.55-57 (June 2019 S1)

Direction: Go through the following paragraph and diagram and answer the questions given below:

Monopoly charges a price above marginal cost, not all consumers who value the good at more than its cost, buy it. Thus, the quantity produced and sold by a monopoly is below the socially efficient level. The deadweight loss represented by the area of the triangle between the demand curve and the marginal cost curve.



Q20. What price will be charged under monopoly? [June 2019 S1 · Q.55]

- (1) OF
- (2) X^2C
- (3) OE
- (4) OG

Q21. Which is the socially efficient level of production? [June 2019 S1 · Q.56]

- (1) OX^1
- (2) OX^2
- (3) AX^1
- (4) CX^2

Q22. Deadweight loss is represented by the area of [June 2019 S1 · Q.57]

- (1) X^1X^2CA
- (2) X^1BCX^2
- (3) OX^1AE
- (4) BAC

Q23. The firms are competitive and profit maximizing; the demand curve for labour is determined by [June 2019 S1 · Q.58]

- (1) the opportunity cost of workers' time
- (2) the value of marginal product of labour
- (3) offsetting income and substitution effect
- (4) the value of marginal product of capital

Q24. General equilibrium analysis determines [June 2019 S1 · Q.59]

- (1) prices and quantities in all markets simultaneously
- (2) prices and quantities in all markets simultaneously and explicitly takes feedback effects into account
- (3) feedback effects
- (4) prices in all markets

Q25. Pareto's marginal condition for efficiency in composition of output (product-mix) requires [June 2019 S1 · Q.60]

- (1) $MRTS(X)_{L,K} = MRTS(Y)_{L,K} = MRTS(Z)_{L,K}$
- (2) $MRS(A)_{X,Y} = MRS(A)_{X,Z} = MRS(B)_{X,Z}$
- (3) $MRTS(X,Y) = MRS(A)_{X,Y} = MRS(B)_{X,Y}$
- (4) $MRTS(Y)_{L,K} = MRS(A)_{X,Y} = MRS(Z)_{X,Y}$

Q26. The inconsistency of which one of the following criteria is labelled as Scitovsky Paradox? [June 2019 S1 · Q.61]

- (1) Little criterion
- (2) Pareto criterion
- (3) Bergson criterion
- (4) Kaldor-Hicks criterion

Q27. Why do individuals act in riskier ways after being insured? [June 2019 S1 · Q.62]

- (1) Due to the problem of adverse selection
- (2) Due to the problem of false confidence
- (3) Due to the problem of moral hazard
- (4) Due to the problem of screening costs

Q28. Which of the following factors is NOT the cause for 'market failure'? [June 2019 S1 · Q.85]

- (1) Asymmetric information
- (2) Public goods
- (3) Externality
- (4) Lack of demand

Q29. "Under some conditions, it makes no difference to efficiency whether the polluter has a right to pollute or the victim has a right to clean air." This statement is related to the work of: [June 2019 S1 · Q.118]

- (1) G. Hardin
- (2) R. Coase
- (3) N. Kaldor
- (4) Julian Simon

Q30. If $AR = 15$ and $MR = 5$, the price elasticity of demand is [June 2019 S1 · Q.144]

- (1) 2.3
- (2) 1.5
- (3) 1.75
- (4) 1

Q31. The cost function of a monopolist is $C = 40 + 12X$. Write his demand function as $P = 60 - 3X$. What is his profit maximising output level? [June 2019 S1 · Q.149]

- (1) 12
- (2) 11
- (3) 8
- (4) 9

UGC NET December 2019 (3 Dec 2019, Shift 1)

Q32. Arrange in chronological order the following economists in relation to their contribution to the Theory of Consumer Behaviour. Choose the correct answer: [December 2019 S1 · Q.51]

- (1) A. Marshall, R. Stone, P. Samuelson, J.R. Hicks and R.G.D. Allen
- (2) R. Stone, P. Samuelson, J.R. Hicks and R.G.D. Allen and A. Marshall
- (3) P. Samuelson, J.R. Hicks and R.G.D. Allen, R. Stone, and A. Marshall
- (4) A. Marshall, J.R. Hicks, R.G.D. Allen, P. Samuelson and R. Stone

Q33. Among normal cost curves which one of the following curve does not have a minimum point?

[December 2019 S1 · Q.52]

- (1) Average cost
- (2) Marginal cost
- (3) Average variable cost
- (4) Average fixed cost

Q34. The 'Compensation Criterion' which says that state A is socially preferable to state B, if those who gain from the change can compensate the losers and yet end up with surplus welfare gain is attributed to: [December 2019 S1 · Q.53]

- (1) W. Pareto
- (2) N. Kaldor
- (3) T. Scitovsky
- (4) Bergson

Q35. In which of the following products, problem of adverse selection is encountered? [December 2019 S1 · Q.54]

- (1) Market of Insurance
- (2) Market for Credit
- (3) Neither (1) nor (2)
- (4) Both (1) and (2)

Q36. The total cost function of a firm is $C = (1/10)q^3 - 3q^2 + 50q + 300$ where C = total cost, q = output. Marginal cost at $q = 10$ is: [December 2019 S1 · Q.65]

- (1) 20
- (2) 10
- (3) 30
- (4) 50

Q37. For a Cobb-Douglas production function $Q = 100 \cdot L^{0.7} \cdot K^{0.3}$, which of the following is not true?

[December 2019 S1 · Q.66]

- (1) It is Linear Homogenous function
- (2) It is characterized by constant returns to scale
- (3) It is having zero elasticity of factor substitution
- (4) It is characterized by unit elasticity of substitution

Q38. Which one of the following is an example of a positive externality? [December 2019 S1 · Q.71]

- (1) Public immunizations
- (2) Increase of corporate taxes
- (3) Issuing extra permits for pollutions
- (4) Monitoring the hazards caused by industries

Q39. Which amongst the following market form leads to most efficient allocation of resources?

[December 2019 S1 · Q.72]

- (1) Monopolistic Competition
- (2) Monopoly
- (3) Oligopoly
- (4) Perfect Competition

Q40. The elasticity of substitution (σ) of the production function which admits of both Hicks and Harrod neutral technical progress would be: [December 2019 S1 · Q.79]

- (1) $\sigma = 0$
- (2) $\sigma = 1$
- (3) $\sigma = \infty$
- (4) $0 < \sigma < 1$

Q41. Which of the following is not an example of 'market failure'? [December 2019 S1 · Q.83]

- (1) Monopolies
- (2) Asymmetric information
- (3) Economies of scale
- (4) Externalities

Q42. Choose the correct option for which the allocation of inputs is technically efficient? [December 2019 S1 · Q.91]

- (a) Output of one good can not be decreased without increasing the output of the other good
 - (b) Consumption of one good can not be increased without decreasing the consumption of another good
 - (c) Consumer attains maximum satisfaction
- (1) (b) only
 - (2) (a) only
 - (3) Both (a) and (c)
 - (4) Both (b) and (c)

Q43. Consider the following statements: [December 2019 S1 · Q.92]

- (I) Preferring of a certain income to a risky income with the same level of expected value lead to a risk averse behaviour
- (II) Being indifferent between a certain income and uncertain income with the same level of expected value leads to risk averse behaviour

Which of the above statement is/are true? Choose the correct option given below:

- (1) Both (I) and (II) are true
- (2) Neither (I) nor (II) is true
- (3) Only (I) is true
- (4) Only (II) is true

Q44. Match List A and List B and choose the correct answer from the code given below: [December 2019 S1 · Q.111]

List - I	List - II
(a) Quasi Rent	(i) A.P. Lerner
(b) Planned Sales Curve	(ii) P.A. Samuelson
(c) Monopoly Power	(iii) A. Marshall
(d) Strong Ordering of Preferences	(iv) F. Chamberlin

- (1) (a)-(iii), (b)-(iv), (c)-(i), (d)-(ii)
- (2) (a)-(iii), (b)-(iv), (c)-(ii), (d)-(i)
- (3) (a)-(iv), (b)-(iii), (c)-(i), (d)-(ii)
- (4) (a)-(iii), (b)-(i), (c)-(iv), (d)-(ii)

Q45. Arrange in chronological order the following contributions of economists in theory of consumer. Choose the correct answer: [December 2019 S1 · Q.121]

- (1) Linear Expenditure System, Revealed preference Theory, Cardinal Theory, Ordinal Theory
- (2) Cardinal Theory, Ordinal Theory, Revealed Preference Theory, Linear Expenditure System
- (3) Cardinal Theory, Revealed Preference Theory, Ordinal Theory, Linear Expenditure System
- (4) Revealed Preference Theory, Cardinal Theory, Linear Expenditure System, Ordinal Theory

Q46. Given below are two statements — one is labelled as Assertion (A) and the other is labelled as Reason (R): [December 2019 S1 · Q.131]

Assertion (A): For certain goods, the expenditure by the consumers decreases.

Reason (R): For such goods, the income elasticity of demand is high.

In the light of the above two statements choose the correct option:

- (1) Both (A) and (R) are true and (R) is correct explanation of (A)
- (2) Both (A) and (R) are true and (R) is not correct explanation of (A)
- (3) (A) is true but (R) is false
- (4) (A) is false but (R) is true

Q47. Given below are two statements — one is labelled as Assertion (A) and the other is labelled as Reason (R): [December 2019 S1 · Q.134]

Assertion (A): CES production function covers large class of production functions

Reason (R): CES production function has the property of constancy of elasticity of factor substitution

In the light of the above two statements choose the correct option:

- (1) Both (A) and (R) are true and (R) is correct explanation of (A)
- (2) Both (A) and (R) are true and (R) is not correct explanation of (A)
- (3) (A) is true but (R) is false
- (4) (A) is false but (R) is true

Q48. Given below are two statements — one is labelled as Assertion (A) and the other is labelled as Reason (R): [December 2019 S1 · Q.139]

Assertion (A): Parties to a dispute over property rights will be able to negotiate an economically optimal solution

Reason (R): There are efficient, competitive markets and there are no transaction costs

In the light of the above two statements choose the correct option:

- (1) Both (A) and (R) are true and (R) is the correct explanation of (A)
- (2) Both (A) and (R) are true and (R) is not the correct explanation of (A)
- (3) (A) is true but (R) is false
- (4) (A) is false but (R) is true

UGC NET June 2020 (exam held 30 Sep 2020, Shift 2)

Q49. Given below are two statements [June 2020 S2 · Q.51]

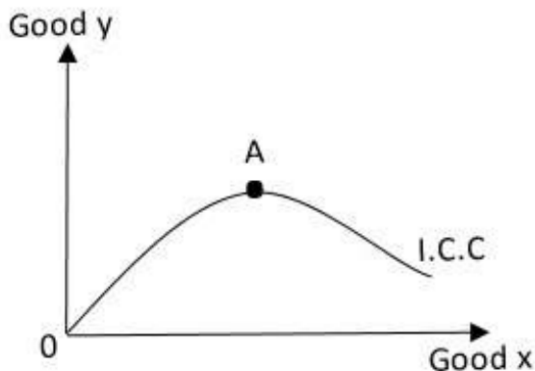
Statement I: Learning curve effect is related to a firm's long-run average cost curve

Statement II: A swapped allocation is one that is Pareto efficient as well as an equitable allocation

In light of the above statements, choose the correct answer from the options given below

- (1) Both Statement I and Statement II are true
- (2) Both Statement I and Statement II are false
- (3) Statement I is correct but Statement II is false
- (4) Statement I is incorrect but Statement II is true

Q50. For the given Income Consumption curve in the diagram, which one of the following is correct, beyond point A? [June 2020 S2 · Q.52]



- (1) Good x is inferior and Good y is normal
- (2) Good y is inferior and Good x is normal
- (3) Good x and Good y are normal
- (4) Good x and Good y are inferior

Q51. Match List I with List II [June 2020 S2 · Q.53]

List - I	List - II
(A) Effectiveness of private market in dealing with externalities	(I) Laffer curve
(B) Relationship between increase in tax rate and tax revenue	(II) Deadweight Loss
(C) Dominant strategy	(III) Coase Theorem
(D) Controlling prices through effective price ceiling and a price floor	(IV) Game Theory

Choose the correct answer from the options given below:

- (1) A - III, B - I, C - IV, D - II
- (2) A - IV, B - I, C - II, D - III
- (3) A - I, B - III, C - II, D - IV
- (4) A - III, B - I, C - II, D - IV

Q52. For the production function, $Q = A \cdot L^\alpha \cdot K^\beta$: [June 2020 S2 · Q.54]

- (A) The Coefficient A shows managerial efficiency
- (B) If $\alpha + \beta > 1$ then the production function exhibits increasing returns to scale
- (C) Marginal Rate of Technical Substitution of L for K is given by $\beta K/\alpha L$
- (D) The Marginal Product of Capital is given by $\beta(Q/K)$

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, B and D only
- (3) A, C and D only
- (4) A, B, C and D only

Q53. Presence of asymmetric information in the market causes which of the following? [June 2020 S2 · Q.55]

- (A) Adverse selection
- (B) Marginal benefits of an additional unit of resources diminish with an increasing number of unit of resources
- (C) Efficiency wages
- (D) Principal-Agent problem

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) B, C and D only
- (3) A and D only
- (4) A and C only

Q54. The solution of the following game is given by: [June 2020 S2 · Q.56]

Player A \ Player B	B1	B2	B3
A1	2	4	2
A2	1	-5	-4
A3	2	6	-2

- (1) Value of game = 2. Best strategy for Players A and B are (A1, B1) respectively
- (2) Value of game = 2. Best strategy for Players A and B are (A1, B1) or (A3, B1) or (A1, B3) respectively
- (3) Value of game = 2. Best strategy for Players A and B are (A3, B1) respectively
- (4) Value of game = 2. Best strategy for Players A and B are (A1, B3) respectively

Q55. Market failure is caused due to the presence of [June 2020 S2 · Q.57]

- (A) Poverty
- (B) Externalities
- (C) Market power
- (D) Private goods

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and C only
- (3) B, C and D only
- (4) B and C only

Q56. Match List I with List II [June 2020 S2 · Q.58]

List - I	List - II
(A) Chamberlin	(I) Small group model
(B) Sweezy	(II) Kinked demand curve
(C) Stackelberg	(III) Price leadership model
(D) Fellner	(IV) Reaction curves

Choose the correct answer from the options given below:

- (1) A - I, B - III, C - IV, D - II
- (2) A - II, B - I, C - III, D - IV
- (3) A - II, B - I, C - IV, D - III
- (4) A - I, B - II, C - IV, D - III

Q57. Maximum Social Welfare is guaranteed where a competitive firm exhibits the following condition [where $MRPT_{xy}$ is Marginal Rate of Product Transformation of x for y] [June 2020 S2 · Q.59]

- (1) $MRPT_{xy} = P_x/P_y = \text{Marginal Cost of x (MC}_x\text{)} / \text{Marginal Cost of y (MC}_y\text{)}$
- (2) $MRPT_{xy} = P_x/P_y = \text{Total Cost of x} / \text{Total Cost of y}$
- (3) $MRPT_{xy} = P_x/P_y = \text{Average Variable Cost of x} / \text{Average Variable Cost of y}$
- (4) $MRPT_{xy} = P_x/P_y = \text{Total variable Cost of x} / \text{Total variable Cost of y}$

Q58. Given below are two statements, one is labelled as Assertion A and the other is labelled as Reason R [June 2020 S2 · Q.60]

Assertion A: Compared to a certain point on the Contract curve, a point above the Contract curve is more efficient

Reason R: The Contract curve represents the locus of points where the marginal rate of substitution between two goods is the same for both individuals

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both A and R are correct and R is the correct explanation of A
- (2) Both A and R are correct but R is NOT the correct explanation of A
- (3) A is correct but R is not correct
- (4) A is not correct but R is correct

Q59. A leftward shift in labour demand curve is caused by [June 2020 S2 · Q.61]

- (1) Increase in wage rate
- (2) Decrease in wage rate
- (3) Increase in marginal productivity of labour
- (4) Decrease in marginal productivity of labour

Q60. Cross elasticity of demand of metro rides is 0.8 and total ridership per day is 1.5 Lakh. If price of bus rides rises by 5%, the change in total metro rides will be [June 2020 S2 · Q.62]

- (1) 4000
- (2) 5000
- (3) 6000
- (4) 7500

Q61. Given the Total Revenue function, $TR = 1400Q - 6Q^2$ and Total Cost function, $TC = 1500 + 80Q$, at $Q = 100$ units (where Q is the amount of output), which one of the following responses is correct? [June 2020 S2 · Q.86]

- (A) $MR > MC$
- (B) $MC = 80$
- (C) $MR < MC$
- (D) $MR = MC$

Choose the most appropriate answer from the options given below:

- (1) A and B are true only
- (2) B and C are true only
- (3) B and D are true only
- (4) Can't be defined

Q62. Given the production function, $Q = 10 \cdot L^{0.8} \cdot K^{0.2}$, the Marginal Product of Labour (MPL) and Capital (MPK), respectively are given by [June 2020 S2 · Q.87]

- (A) $MPL = 8(K/L)^{0.2}$
- (B) $MPL = 8(L/K)^{0.2}$
- (C) $MPK = 2(L/K)^{0.8}$
- (D) $MPK = 2(K/L)^{0.8}$

Choose the correct answer from the options given below:

- (1) A and D are true only
- (2) A and C are true only
- (3) B and C are true only
- (4) B and D are true only

Q63. Given the Total Cost, $TC = Q^3 - 10Q^2 + 60Q$, what will be the Minimum average cost? At what level of output will the minimum cost occur? (Q is the level of output) [June 2020 S2 · Q.89]

- (1) Minimum average cost is $AC(\min) = 35$ at $Q = 5$
- (2) Minimum average cost is $AC(\min) = 175$ at $Q = 5$
- (3) Minimum average cost is $AC(\min) = 170$ at $Q = 1$
- (4) Minimum average cost is $AC(\min) = 45$ at $Q = 1$

UGC NET December 2020 & June 2021 (merged cycle, exam Nov 2021)

Q64. In case of indifference curve of two goods X and Y, as consumption of X increases: [December 2020 · Q.1]

- (1) MRS_{xy} increases
- (2) MRS_{xy} decreases
- (3) MRS_{xy} remains the same
- (4) First MRS_{xy} increases but later on MRS_{xy} decreases

Q65. General Economic Equilibrium is NOT related to which one of the following problems?

[December 2020 · Q.2]

- (1) Uniqueness problem
- (2) Existence problem
- (3) Stability problem
- (4) Moral Hazard problem

Q66. In the short-run production function, which one of the following is CORRECT? [December 2020 · Q.3]

- (1) Technology is assumed to change as labour input changes
- (2) Technology is assumed to change as capital stock changes
- (3) Technology is assumed to change positively until diminishing returns set in
- (4) Technology is assumed to be constant for a given production function relationship

Q67. As output expands, LAC curve falls. This is due to: [December 2020 · Q.4]

- (1) Law of variable proportions
- (2) Law of diminishing returns
- (3) Economies of scale
- (4) Diseconomies of scale

Q68. In a situation of decision under uncertainty, if a consumer faces equal expected income from two alternatives, then s/he will take decision on the basis of [December 2020 · Q.5]

- (1) Expected utility of both the alternatives
- (2) Probability of risk attached with each alternative
- (3) Variation of risk attached with each alternative
- (4) Mean of risk of each alternative

Q69. Which method can help in obtaining a welfare improvement, if externalities exist? [December 2020 · Q.24]

- (1) Pigovian taxes
- (2) Regulation
- (3) Assigning property rights and permitting bargaining
- (4) All of the above

Q70. The incidence of which of the following will entirely be on the monopolist? [December 2020 · Q.26]

- (1) Lump-sum tax
- (2) Specific tax
- (3) Regulated monopoly pricing
- (4) None of these

Q71. If a production function admits both Harrod and Hicks neutral technical progress, the elasticity of substitution should be [December 2020 · Q.33]

- (1) equal to one
- (2) equal to zero
- (3) equal to infinity
- (4) equal to one divided by two

Q72. According to Ronald Coase, which of the following statements is CORRECT for pollution control? [December 2020 · Q.35]

- (1) Providing property rights to the state
- (2) Providing property rights to the legal institutions
- (3) Providing property rights to polluters and pollutees
- (4) Providing property rights to Trade Unions

Q73. Which of the following measures are used by a risk-averse person to minimize risk? [December 2020 · Q.41]

- (A) Diversification of resources
- (B) Insurance of risk event
- (C) Total cost of resources
- (D) Value of information of risk event

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, B and D only
- (3) B, C and D only
- (4) A, C and D only

Q74. Which of the following statements are CORRECT for welfare economics? [December 2020 · Q.42]

- (A) Any competitive equilibrium leads to a Pareto efficient allocation of resources
- (B) Competitive equilibrium does not lead to Pareto efficient allocation of resources
- (C) Any efficient allocation can be attained by a competitive equilibrium given the market mechanism leading to redistribution
- (D) There will be no Pareto efficient allocation of resources in the society

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A and C only
- (3) B and C only
- (4) C and D only

Q75. Which of the following conditions hold true for factor pricing when factor market is perfectly competitive and product market is monopolistic? [December 2020 · Q.43]

- (A) $VMP > MRP$
- (B) Both VMP and MRP decreasing
- (C) $VMP < MRP$
- (D) $MRPL = W$

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) B, C and D only
- (3) A, B and D only
- (4) A, C and D only

Q76. Which of the following are a source of market failure? [December 2020 · Q.48]

- (A) The existence of public goods
- (B) The presence of externalities
- (C) The fact that some goods are rivals in consumption
- (D) The existence of monopolies

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) A, B and C only
- (3) B, C and D only
- (4) A, C and D only

Q77. Which of the following are NOT properties of Cobb-Douglas production function? [December 2020 · Q.59]

- (A) Cobb-Douglas production function is a homogeneous production function
- (B) Curves representing average and marginal productivity of inputs are not downward sloping
- (C) Marginal productivity of labour and capital in Cobb-Douglas production function are functions of the capital-labour ratio
- (D) Iso-quants of Cobb-Douglas production functions are positively sloped

Choose the correct answer from the options given below:

- (1) A and B only
- (2) B and D only
- (3) B and C only
- (4) C and D only

Q78. Match List I with List II [December 2020 · Q.66]

List - I	List - II
(A) Perfect competition	(I) Many real or perceived differences in products
(B) Monopoly	(II) Little or no difference in products
(C) Monopolistic competition	(III) Identical products
(D) Oligopoly	(IV) Product without close substitutes

Choose the correct answer from the options given below:

- (1) A - III, B - IV, C - I, D - II
- (2) A - III, B - I, C - II, D - IV
- (3) A - II, B - IV, C - I, D - III
- (4) A - III, B - IV, C - II, D - I

Q79. Arrange the following concepts of consumer behaviour in chronological order [December 2020 · Q.76]

- (A) Law of diminishing marginal utility
- (B) Law of demand
- (C) Revealed Preference Analysis
- (D) Indifference Curve Analysis

Choose the correct answer from the options given below

- (1) A, B, D, C
- (2) B, A, D, C
- (3) B, A, C, D
- (4) A, B, C, D

Q80. Given below are two statements, one is labelled as Assertion A and the other is labelled as Reason R [December 2020 · Q.86]

Assertion A: A lumpsum tax imposed on a monopolist cannot be shifted to the consumers.

Reason R: The lumpsum tax becomes a part of his fixed cost and it does not affect the marginal cost of production.

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both A and R are correct and R is the correct explanation of A
- (2) Both A and R are correct but R is NOT the correct explanation of A
- (3) A is correct but R is not correct
- (4) A is not correct but R is correct

Q81. Given below are two statements: [December 2020 · Q.89]

Statement I: Social Welfare Function (SWF) is a sort of social indifference map consisting of the Social Indifference Curves (SICs) which shows the various combination of utilities that gives the same level of social welfare (SW).

Statement II: Social Indifference Curves (SICs) may not be convex or concave to the origin

In light of the above statements, choose the most appropriate answer from the options given below

- (1) Both Statement I and Statement II are correct
- (2) Both Statement I and Statement II are incorrect
- (3) Statement I is correct but Statement II is incorrect
- (4) Statement I is incorrect but Statement II is correct

UGC NET December 2021 & June 2022 (merged cycle, exam Oct 2022)

Q82. If the income effect for a good is in the opposite direction as the substitution effect, but the substitution effect dominates then the good is [December 2021 · Q.1]

- (1) Normal
- (2) Inferior but not giffen
- (3) Giffen
- (4) None of the above

Q83. Two factors of production, say A and B have the same price. The least cost combination of A and B for producing given level of output will be achieved at a point where the Iso-quant has slope equal to [December 2021 · Q.2]

- (1) 0
- (2) 1
- (3) -1
- (4) 2

Q84. Suppose a profit maximising monopolist is producing 800 units of output and is charging a price of Rs. 40 per unit. If the elasticity of demand for the product is -2, marginal cost of the last unit produced is _____. [December 2021 · Q.3]

- (1) 10
- (2) -400
- (3) -2
- (4) 20

Q85. Which of the followings is not a marginal condition of pareto optimality criteria? [December 2021 · Q.4]

- (1) $MRS(A)_{x,y} = MRS(B)_{x,y} = P_x/P_y$
- (2) $MRTS(x)_{L,K} = MRTS(y)_{L,K} = w/r$
- (3) $MRS(A)_{x,y} = MRS(B)_{x,y} = MRPT_{x,y}$
- (4) $MRPT(K)_{x,y} = MRPT(L)_{x,y} = w/r$

Q86. The strategy of choosing the policy which has the best possible outcome is known as _____. [December 2021 · Q.5]

- (1) Dominant strategy
- (2) Maxi max
- (3) Mini max
- (4) Maxi min

Q87. If the demand function is $P = 35 - 2x - x^2$ and the demand x_0 is 3, what will be the consumer's surplus? [December 2021 · Q.15]

- (1) 27
- (2) 25
- (3) 60
- (4) 20

Q88. The total revenue (R) and total cost (C) function of a firm are given by $R = 30Q - Q^2$, $C = 20 + 4Q$, where Q is output. Find the equilibrium output of the firm. [December 2021 · Q.16]

- (1) 4
- (2) 13
- (3) 15
- (4) 10

Q89. Which of the following conditions are satisfied for a rational firm to achieve its equilibrium by maximising $Q = f(L, K)$ subject to $C = wL + rK$. [December 2021 · Q.41]

- (A) $(\partial Q/\partial L) / (\partial Q/\partial K) = w/r$
- (B) $\partial^2 Q/\partial L^2 > 0$, $\partial^2 Q/\partial K^2 > 0$
- (C) $\partial^2 Q/\partial L^2 < 0$ and $\partial^2 Q/\partial K^2 > 0$
- (D) $\partial^2 Q/\partial L^2 < 0$ and $\partial^2 Q/\partial K^2 < 0$
- (E) $(\partial^2 Q/\partial L^2)(\partial^2 Q/\partial K^2) > (\partial^2 Q/\partial L\partial K)^2$

Choose the correct answer from the options given below:

- (1) (A), (B) and (E) only
- (2) (A), (D) and (E) only
- (3) (A) and (E) only
- (4) (A) and (B) only

Q90. Which of the followings are correct? [December 2021 · Q.51]

- (A) The market is a system that works with price mechanism
- (B) Market failure refers to the divergence of market equilibrium from pareto optimality
- (C) Market fails to efficiently supply public goods and the same makes a case for govt intervention
- (D) Market efficiently works in the presence of positive externalities
- (E) Market efficiently works in the presence of negative externalities

Choose the correct answer from the options given below:

- (1) (A), (B), (C) and (D) only
- (2) (A), (B) and (C) only
- (3) (C), (D) and (E) only
- (4) (B) and (E) only

Q91. Which of the followings are assumptions of ordinal utility analysis? [December 2021 · Q.52]

- (A) Consumers are consistent in their preferences
- (B) Consumer can measure the total utility received from any given basket of goods
- (C) Consumer preferences follow transitivity
- (D) Consumers are non-satiated with respect to goods they confront
- (E) Consumers are irrational

Choose the correct answer from the options given below:

- (1) (B), (C), (D) only
- (2) (C), (D), (E) only
- (3) (A), (C), (D) only
- (4) (A), (B), (C) only

Q92. Which of the followings conditions prevail in the long run equilibrium of industry for achieving optimal resource allocation [December 2021 · Q.59]

- (A) The output is produced at the minimum feasible cost
- (B) Consumer pays the minimum possible price which just covers the marginal cost of the product
- (C) Plants are used at full capacity in long run
- (D) Firms earn supernormal profits
- (E) Perfect competitive firms and price mechanism operates

Choose the correct answer from the options given below:

- (1) (A), (B), (C) and (E) only
- (2) (C), (D) and (E) only
- (3) (B), (D) and (E) only
- (4) (A), (B) and (E) only

Q93. Match List I with List II: [December 2021 · Q.66]

List - I	List - II
(A) The greatest good for the greater number	(I) Lerner's index
(B) Stability of general equilibrium	(II) Bentham's criterion
(C) Degree of monopoly power	(III) Tâtonnement
(D) Third degree price-discrimination	(IV) Pigou

Choose the correct answer from the options given below:

- (1) (A)-(IV), (B)-(III), (C)-(I), (D)-(II)
- (2) (A)-(IV), (B)-(III), (C)-(II), (D)-(I)
- (3) (A)-(I), (B)-(III), (C)-(II), (D)-(IV)
- (4) (A)-(II), (B)-(III), (C)-(I), (D)-(IV)

UGC NET December 2022 (Shift 1)

Q94. Which of the following is not true in case of Indifference curves? [December 2022 S1 · Q.1]

- (1) The Indifference curves are usually convex or bowed inward.
- (2) Indifference curve for two goods that are perfect compliments is shaped as right angles.
- (3) Indifference curve for two goods that are perfect substitutes is a downward sloping straight line.
- (4) Indifference curve for two normal goods is a downward sloping straight line.

Q95. Which one of the following is not true in case of producer's equilibrium? [December 2022 S1 · Q.2]

- (1) $MPL/MPK = w/r$
- (2) $MRTS(LK) = MPL/MPK = w/r$
- (3) $MPL/w = MPK/r$
- (4) $MRTS(LK) = r/w$

Q96. A game in which the gains or losses of one player or firm do not come at the expenses of or provide equal benefit to the other player or firm, is known as _____. [December 2022 S1 · Q.3]

- (1) Zero-Sum game
- (2) Non-Zero Sum game
- (3) Mixed game
- (4) Balanced game

Q97. The condition of preferring a risky income to a certain income with the same expected value is referred as: [December 2022 S1 · Q.4]

- (1) Risk averse
- (2) Risk loving
- (3) Risk neutral
- (4) Risk premium

Q98. _____ arises when the firm can produce any combination of the two outputs more cheaply than could two independent firms that each produced a single output. [December 2022 S1 · Q.5]

- (1) Learner's curve
- (2) Economies of scale
- (3) Dis-economies of scale
- (4) Economies of scope

Q99. In which oligopoly model, firms produce homogenous goods and each firm treats the price of its competitors as fixed and all firms decide simultaneously, what price to change? [December 2022 S1 · Q.6]

- (1) Bertrand model
- (2) Cournot model
- (3) Stackelberg model
- (4) Sweezy model

Q100. If the demand for labour increases, then [December 2022 S1 · Q.9]

- (1) Real wage rises
- (2) The amount of labour employed increases
- (3) Both 1 and 2 happen
- (4) None of the above

Q101. If the demand and supply functions are given $P_d = 20 - 5x$ and $P_s = 4x + 8$; obtain Producer's surplus. [December 2022 S1 · Q.14]

- (1) $31/9$
- (2) $32/9$
- (3) $129/9$
- (4) $29/9$

Q102. The demand function for Good A is given by $Q_A = 100 - 2P_A + 0.2Y + 0.3P_B$. Find the cross-price elasticity of demand at $P_A = 6$, $Y = 500$, $P_B = 10$. [December 2022 S1 · Q.15]

- (1) 0.06
- (2) 0.016
- (3) 0.52
- (4) -0.06

Q103. Find the Elasticity of Substitution (σ) of Constant elasticity of substitution (CES) Production function, when the substitution parameter (ρ) lies between $0 < \rho < \infty$. [December 2022 S1 · Q.18]

- (1) $\sigma > 1$
- (2) $\sigma < 1$
- (3) $\sigma = \infty$
- (4) $\sigma = 1$

Q104. Which of the following is true in the case of externality? [December 2022 S1 · Q.36]

- (1) It is not related to human interactions
- (2) It is not tied to consumer sovereignty
- (3) It is based on higher order judgements of right and wrong
- (4) It is an amoral concept

Q105. Nash equilibrium represents [December 2022 S1 · Q.41]

- (A) The outcome each time the game is played
- (B) Long-run equilibrium
- (C) A situation in which one player will not deviate, given the strategy of other player
- (D) Best response of the first mover
- (E) The pair of dominated strategies

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) B and D only
- (3) B and C only
- (4) A, C and D only

Q106. Which of the following are correct assumptions of Arrow's conditions of Social Welfare?

[December 2022 S1 · Q.43]

- (A) Responsiveness to individual preferences
- (B) Impositions
- (C) Dictatorship
- (D) Transitivity or consistency
- (E) Independent of irrelevant alternatives

Choose the correct answer from the options given below:

- (1) A, B and D only
- (2) B, D and E only
- (3) B, C and D only
- (4) A, D and E only

Q107. Which of the following are true for an oligopolistic market? [December 2022 S1 · Q.61]

- (A) The demand curve of oligopolistic market is indeterminate.
- (B) There is a possibility of only two sellers.
- (C) The product may be homogenous or differentiated.
- (D) There is free entry into and free exit out of the market.
- (E) There is an importance of advertisement cost.

Choose the correct answer from the options given below:

- (1) A, B, C and D only
- (2) B, C and D only
- (3) A, B, C and E only
- (4) B, C, D and E only

Q108. Consider a competitive polluting industry with identical firms and free entry. If the regulator sets an emission cap for each firm equal to the socially optimal long run level per firm, which of the following will characterize the long run impact of such an environmental policy on this competitive industry? [December 2022 S1 · Q.63]

- (A) The industry size will be larger than the social optimum.
- (B) The output produced by each firm will be less than socially optimal.
- (C) The industry size will be smaller than the social optimum.
- (D) The output produced by each firm will be larger than socially optimal.
- (E) Total output and total pollution are greater than the social optimum.

Choose the correct answer from the options given below:

- (1) A, D and E only
- (2) B, C and E only
- (3) C, D and E only
- (4) A, B and E only

Q109. Match List I with List II [December 2022 S1 · Q.66]

List - I	List - II
(A) Extra risk that an investor must incur to enjoy a higher expected return.	(I) Risky Asset
(B) Tendency of individuals to value an item more when they own it than when they do not.	(II) Moral Hazard
(C) Provides an uncertain flow of money or services to its owner.	(III) Price of Risk
(D) When a party whose actions are unobserved can affect the probability of payment associated with an event.	(IV) Endowment effect

Choose the correct answer from the options given below:

- (1) A - I, B - IV, C - III, D - II
- (2) A - III, B - IV, C - I, D - II
- (3) A - III, B - IV, C - II, D - I
- (4) A - I, B - II, C - III, D - IV

Q110. Given below are two statements: [December 2022 S1 · Q.86]

Statement I: Every point on the Contract curve is Pareto efficient because one person could not be made better off without making someone else worse off.

Statement II: Every point on the Contract curve necessarily indicates equal level of economic welfare for the society.

In light of the above statements, choose the most appropriate answer from the options given below:

- (1) Both Statement I and Statement II are correct.
- (2) Both Statement I and Statement II are incorrect.
- (3) Statement I is correct but Statement II is incorrect.
- (4) Statement I is incorrect but Statement II is correct.

UGC NET December 2022 (Shift 2)

Q111. In case of two goods for which the MRS is zero or infinite, then the nature of goods is:

[December 2022 S2 · Q.1]

- (1) Perfect substitutes
- (2) Normal goods
- (3) Perfect compliments
- (4) Close substitutes

Q112. Which of the following is not true? [December 2022 S2 · Q.2]

- (1) Total effect of price change on consumption of a good is a combination of income effect and substitution effect
- (2) For inferior goods, income effect is always larger than substitution effect, in absolute terms.
- (3) For corner solution $MRS_{xy} \neq P_x/P_y$
- (4) For a normal good both the income and substitution effect hold

Q113. The negative network externality in which a consumer wishes to own an exclusive or unique good such as specially designed sports car is: [December 2022 S2 · Q.3]

- (1) Bandwagon effect
- (2) Tequila effect
- (3) Snob effect
- (4) Pigou effect

Q114. When each player has chosen his or her optimal strategy given the strategy chosen by other player, the situation is referred to as: [December 2022 S2 · Q.4]

- (1) Nash Equilibrium
- (2) Wicksell's Equilibrium
- (3) Prisoner's dilemma
- (4) Co-operative Game

Q115. A firm has the following total cost and demand functions: $C = (1/3)Q^3 - 7Q^2 + 111Q + 50$, $Q = 100 - P$, then find the profit maximizing level of output (Q^*) and maximum profit of the firm.

[December 2022 S2 · Q.5]

- (1) 50 and 100
- (2) 111 and 2150
- (3) 11 and $111\frac{1}{3}$
- (4) 7 and 84

Q116. The condition of preferring a certain income to a risky income with same expected value is referred to as: [December 2022 S2 · Q.6]

- (1) Risk neutral
- (2) Risk loving
- (3) Risk averse
- (4) Risk Premium

Q117. Find the producer's surplus when $P_d = 3x^2 - 20x + 5$ and $P_s = 15 + 9x$ (x is the quantity)

[December 2022 S2 · Q.13]

- (1) 400
- (2) 350
- (3) 450
- (4) 500

Q118. The demand function for good A is given by $Q_A = 100 - 2P_A + 0.2Y + 0.3P_B$. Find the income elasticity of demand at $P_A = 6$, $Y = 500$, $P_B = 10$. [December 2022 S2 · Q.14]

- (1) 0.06
- (2) 0.02
- (3) 0.52
- (4) -0.06

Q119. Find the substitution parameter ρ (rho) of constant elasticity of substitution (CES) production function when the elasticity of substitution (σ) is greater than one. [December 2022 S2 · Q.15]

- (1) $\rho = 0$
- (2) $\rho = 1$
- (3) $-1 < \rho < 0$
- (4) $0 < \rho < \infty$

Q120. Suppose 'X' places Rs. 8 value on one bread packet and 'Y' places Rs. 6 value on it. If there is no tax on bread, then price of bread packet is Rs. 5, so both X and Y choose to buy one packet each. Now suppose government levies a tax of Rs. 2 per unit, the price of bread rises to Rs. 7. Then the deadweight loss and tax revenue collected respectively are: [December 2022 S2 · Q.26]

- (1) Rs. 1 and Rs. 2
- (2) Rs. 2 and Rs. 4
- (3) Rs. 2 and Rs. 2
- (4) Rs. 1 and Rs. 4

Q121. Which of the following is not true in the case of externality? [December 2022 S2 · Q.33]

- (1) It is related to human interactions
- (2) It is tied to consumer sovereignty
- (3) It is based on higher order judgements of right and wrong
- (4) It is an amoral concept

Q122. Compensating variation for a price decrease of a good can be interpreted as: [December 2022 S2 · Q.34]

- (1) Willingness to pay
- (2) Willingness to accept
- (3) Both 1 and 2
- (4) None

Q123. Equivalent variation for a price increase of a good can be interpreted as: [December 2022 S2 · Q.36]

- (1) Willingness to pay
- (2) Willingness to accept
- (3) Both 1 and 2
- (4) None

Q124. Which of the followings are true for ridge lines? [December 2022 S2 · Q.41]

- (A) They separate the relevant from the irrelevant portions of the isoquants
- (B) Along the ridge lines, the slope of the isoquants is either zero or infinite
- (C) The relevant segment of the isoquants enclosed pertains to the stage II of production for labour and capital
- (D) Producers will never want to operate outside the region enclosed within the ridge lines.
- (E) The marginal product of both inputs-labour and capital is positive but declines for the portion of the isoquants within the ridge lines.

Choose the correct answer from the options given below:

- (1) A, C and D only
- (2) B, C and E only
- (3) A, C, D and E only
- (4) A, B, C, D and E only

Q125. Which of the followings are true about a fair game or fair bet? [December 2022 S2 · Q.42]

- (A) The entry of a fair bet is zero
- (B) The person who accepts fair bet is said to be risk lover
- (C) Expected value of income from the bet is equal to the same amount of income with certainty
- (D) The person who refuses a fair bet is said to be risk neutral
- (E) The person who refuses a fair bet is said to be risk averse.

Choose the correct answer from the options given below:

- (1) A and C only
- (2) B and E only
- (3) C and D only
- (4) C and E only

Q126. According to the modern theory of rent [December 2022 S2 · Q.43]

- (A) All the factors may earn rent
- (B) Rent can only be earned in long-run
- (C) Transfer earning of an unused factor is zero
- (D) Only land can earn rent
- (E) Entire earning of an unused factor is economic rent.

Choose the correct answer from the options given below:

- (1) A, B and C only
- (2) A, C and E only
- (3) B, C and E only
- (4) A, C and D only

Q127. Match List I with List II [December 2022 S2 · Q.66]

List - I	List - II
(A) One firm sets its output before other firms do.	(I) Cournot Model
(B) Each firm correctly assumes how much its competitor will produce and sets its own production level	(II) Bertrand Model
(C) Firms are reluctant to change price even if costs or demand change	(III) Stackelberg Model
(D) Each firm treats the price of its competitors as fixed and all firms decide simultaneously what price to change.	(IV) Sweezy Model

Choose the correct answer from the options given below:

- (1) A-III, B-II, C-IV, D-I
- (2) A-II, B-III, C-IV, D-I
- (3) A-III, B-I, C-IV, D-II
- (4) A-II, B-IV, C-III, D-I

Q128. Match List I with List II [December 2022 S2 · Q.71]

List - I	List - II
(A) Principal agent problem	(I) Use of resources are more than desirable
(B) Moral Hazard Problem	(II) One's actions are unobserved but it can affect the magnitude of payment
(C) Tragedy of commons	(III) An individual pursue his/her own goal rather than the goal of the employer
(D) Problem of Lemons	(IV) Sellers have better information about the product quality than buyers.

Choose the correct answer from the options given below:

- (1) A-III, B-II, C-I, D-IV
- (2) A-III, B-II, C-IV, D-I
- (3) A-IV, B-III, C-I, D-II
- (4) A-I, B-II, C-IV, D-III

Q129. Given below are two statements: One is labelled as Assertion A and the other is labelled as Reason R. [December 2022 S2 · Q.86]

Assertion A: A form of market failure results when products of different qualities are sold at a single price.

Reason R: A buyer and a seller possess different information about the product transacted. In the light of the above statements, choose the most appropriate answer from the options given below:

- (1) Both A and R are true and R is the correct explanation of A
- (2) Both A and R are true but R is not the correct explanation of A
- (3) A is true but R is false
- (4) A is false but R is true

Q130. Suppose good 1 is taken on horizontal axis and good 2 on vertical axis, then what happens to the budget line if the price of good 1 doubles and price of good 2 triples? [June 2023 · Q.51]

- (1) The budget line becomes steeper
- (2) The budget line becomes flatter
- (3) The budget line become vertical
- (4) The budget line remains unchanged

Q131. Which one of the following is not a characteristic of market structure? [June 2023 · Q.53]

- (1) Degree of buyers' concentration
- (2) Degree of Sellers' concentration
- (3) Conditions of entry
- (4) Vertical integration

Q132. Which of the following is not true in the case of second theorem of welfare economics? [June 2023 · Q.54]

- (1) If consumers exhibit convex preferences, every pareto efficient allocation is a possible competitive equilibrium in a pure exchange economy.
- (2) In an economy involving production, the convexity of production sets ensures that a pareto efficient allocation can be achieved as a market equilibrium.
- (3) It holds when there are increasing returns to scale.
- (4) It implies that in the market system, the allocative role and the distributive role can be separated from each other.

Q133. The utility function of a consumer is given by $U = f(q_1, q_2) = q_1 \cdot q_2$. Suppose the price of q_1 is $P_{q1} = 1$ and price of q_2 is $P_{q2} = 2$. The consumer wants to spend amount of k units only; what will be his demand for q_1 and q_2 ? [June 2023 · Q.67]

- (1) $(q_1, q_2) = (k, k/2)$
- (2) $(q_1, q_2) = (k/4, k/6)$
- (3) $(q_1, q_2) = (k/2, k/4)$
- (4) $(q_1, q_2) = (k/2, k/3)$

Q134. Why subsidies are not an effective policy instrument in the long run for internalizing externalities under competitive output markets? [June 2023 · Q.85]

- (1) A subsidy that is equal to marginal damages translates to a de facto decrease in firm's fixed costs.
- (2) Subsidy payments are available to all firms and can induce excessive market entry.
- (3) The level of industrial production in the sector would exceed the socially desired level.
- (4) All of the above

Q135. Which of the following holds for Bertrand's Duopoly model? [June 2023 · Q.91]

- (A) The reaction curves are derived from isoprofit maps which are convex to the axes.
- (B) The point of intersection of the two reaction curves reflects a stable equilibrium.
- (C) The reaction curves are derived from isoprofit maps which are concave to the axes.
- (D) The point of intersection of the two reaction curves reflects an unstable equilibrium.
- (E) Firm's behavioral pattern is such that they learn from past experience.

Choose the correct answer from the option given below:

- (1) A and B only
- (2) C and D only
- (3) A, D and E only
- (4) B, C and E only

Q136. Which of the following is true for the Clark-Wicksteed-Walras product exhaustion theorem?

[June 2023 · Q.92]

- (A) The assumption of a homogeneous production function is necessary.
- (B) It is an identity that holds for all values of the variables.
- (C) The assumption of a homogeneous production function is not necessary.
- (D) It is not an identity since it holds only for the values of the variables in the long-run equilibrium.
- (E) It holds for all types of production functions.

Choose the correct answer from the option given below:

- (1) A and B only
- (2) A and D only
- (3) B, C and E only
- (4) C, D and E only

Q137. Properties of expenditure function are (in the context of utility theory), [June 2023 · Q.93]

- (A) Homogeneous of degree one in price, P
- (B) Strictly increasing in utility, u and non-decreasing in price, P for any good i.
- (C) Concave in P
- (D) Continuous in P and u
- (E) Strictly convex in P

Choose the correct answer from the option given below:

- (1) A, C, D, E only
- (2) A, B, D, E only
- (3) A, B, C, D only
- (4) B, C, D, E only

Q138. Which of the following is/are correct about Walrasian demand function? [June 2023 · Q.115]

- (A) The Walrasian demand function $X(P, W)$ is homogenous of degree zero if $X(\alpha P, \alpha W) = X(P, W)$ for any P, W and $\alpha > 0$.
- (B) The Walrasian demand function $X(P, W)$ is homogenous of degree one if $X(\alpha P, \alpha W) = \alpha X(P, W)$ for any P, W and $\alpha > 0$.
- (C) The Walrasian demand function $X(P, W)$ satisfies Walras' law if for every $P \gg 0$ and $W > 0$, we have $P \cdot X = W$ for all $X \in X(P, W)$.
- (D) Walras' law says consumer fully expends his wealth.
- (E) If price and wealth both change in same proportion, then individual consumption choice does not change.

Choose the correct answer from the option given below:

- (1) A, B, C, D only
- (2) B, C, D, E only
- (3) A, B, C, E only
- (4) A, C, D, E only

Q139. Given below are two statements: [June 2023 · Q.138]

Statement I: Under first degree price discrimination, monopolist sells different units of output for different prices and these prices may differ from person to person.

Statement II: Under third degree price discrimination, monopolist sells different units of output for different prices, but every individual who buys the same amount of the good pays the same price.

In the light of the above statements, choose the correct answer from the options given below:

- (1) Both Statement I and Statement II are true.
- (2) Both Statement I and Statement II are false.
- (3) Statement I is true but Statement II is false.
- (4) Statement I is false but Statement II is true.

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Q140. Consider a production function $q = x + y$, where x and y are the 2 inputs. If the respective input prices are w_x and w_y and assume $w_x > w_y$, then the cost function $C(q)$ is: [December 2023 S1 · Q.69]

- (1) $C(q) = w_x \cdot q$
- (2) $C(q) = w_y \cdot q$
- (3) $C(q) = (w_x + w_y) \cdot q$
- (4) $C(q) = \min\{w_x, w_y\} \cdot \sqrt{q}$

Q141. Suppose a cost function of producing q level of output is $C(w, r, q)$ where $C(w, r, q) = q(w/\alpha + r/\beta)$, where w and r are the wage cost and rental cost of the 2 inputs capital (K) and labour (L) respectively. What would be the production function q of k and l ? [December 2023 S1 · Q.70]

- (1) $q = \alpha k + \beta l$
- (2) $q = [k^\alpha + l^\beta]^r$
- (3) $q = \min\{\alpha l, \beta k\}$
- (4) $q = A(k^\alpha \cdot l^\beta)$

Q142. If the Average Revenue function $AR = 10 + 5q - q^2$, then the Marginal Revenue function is a: [December 2023 S1 · Q.72]

- (1) Convex function
- (2) Concave function
- (3) Can be both concave or convex function
- (4) Weakly concave function

Q143. Suppose a consumer has a utility function $u(x) = 10\sqrt{x}$, where x is the money income of the consumer. Suppose the consumer's initial endowment is Rs 50. Suppose she may suffer a loss of Rs 25 with a probability of 0.5 for some random event. Suppose she pays p premium for an insurance policy that fully reimburses her if she suffers a loss. How much premium p would she be willing to pay to insure against the loss? [December 2023 S1 · Q.73]

- (1) 12.50
- (2) 13.57
- (3) 11.59
- (4) 14.41

Q144. Consider a consumer's choice based on only 2 commodities i.e., $X \in \mathbb{R}^2_+$, where X is a set of all commodity bundles which the consumer can conceive of. Suppose x and y are the 2 different commodity bundles and the budget set B of the consumer can be written as: $B = \{(x, y): p_1x + p_2y \leq M; x_i > 0, i = 1, 2\}$. Which of the following statements is true? [December 2023 S1 · Q.75]

- (1) The budget set is an open, bounded and convex set
- (2) The budget set is not a bounded set
- (3) The budget set is a closed and non-convex set
- (4) The budget set is a closed, bounded and convex set

Q145. Consider a Bertrand duopoly where the 2 firms produce a homogenous product. Assume the market demand curve is $y = y_1 + y_2 = 1 - p$, where p is the relevant market price, y is the total amount demanded at that price, y_1 and y_2 are the output levels of firm (1) and (2) respectively. Assume that the firm's cost functions are $C(y_i) = (1/2)y_i$ for $i = 1, 2$. The rules of the pricing game are as follows: Each firm must simultaneously quote a price in the interval $[0, 1]$. If the prices are different, the firm with the lower price sells all the units demanded at that price. If they quote the same price, the amount demanded at that price is split equally between the two firms. What would be the Nash equilibrium price and quantities? [December 2023 S1 · Q.76]

- (1) $P_1 = P_2 = 1$; $Y_1 = Y_2 = (1/2)Y$; is one of the Multiple Nash Equilibria
- (2) $P_1 = P_2 = 1/2$; $Y_1 = Y_2 = (1/2)Y$; is the Unique Nash Equilibrium
- (3) $P_1 > P_2 = 1/2$; $Y_1 = 0, Y_2 = Y$; is one of the Multiple Nash Equilibria
- (4) $P_1 < P_2 = 1/2$; $Y_1 = Y, Y_2 = 0$; is one of the Multiple Nash Equilibria

Q146. Suppose the cost function $C(w_1, w_2, y) = y(w_1 + \sqrt{(w_1 w_2)} + w_2)$, where w_1 and w_2 are the prices of 2 inputs which are used in production of y . Which of the following properties of the cost function $C(w_1, w_2, y)$ is correct? [December 2023 S1 · Q.77]

- (1) Cost function $C(w_1, w_2, y)$ is monotone, concave and continuous function in w_1, w_2 .
- (2) Cost function $C(w_1, w_2, y)$ is a non-monotone, convex and continuous function in w_1, w_2 .
- (3) Cost function is continuous in w_1 and w_2 and discontinuous function in y .
- (4) Cost function is a continuous function and homogeneous function in degree 0.

Q147. The demand and supply functions for cobweb model are given as: $Q_d(t) = 19 - 6P_t$ and $Q_s(t) = 6P_{t-1} - 5$. Choose the right answer related to intertemporal equilibrium price and the nature of the equilibrium. [December 2023 S1 · Q.78]

- (1) $P = 2$, explosive oscillation
- (2) $P = 2$, uniform oscillation
- (3) $P = 3$, damped oscillation
- (4) $P = 3$, uniform oscillation

Q148. Consider the pay offs of two players, who are close friends. They can either go for Diwali shopping or they can watch World Cup Cricket match. [December 2023 S1 · Q.79]

Player 2 \ Player 1	Diwali Shopping	World Cup Watching
Diwali Shopping	(2, 1)	(0, 0)
World Cup Watching	(0, 0)	(1, 2)

Identify which of the following is true for them:

- (1) There is no Nash equilibrium for them.
- (2) There is only one Nash equilibrium where player 1 goes for Diwali shopping and player 2 goes for World Cup Match.
- (3) Any of the four combinations can be a Nash Equilibrium.
- (4) There are two Nash Equilibria.

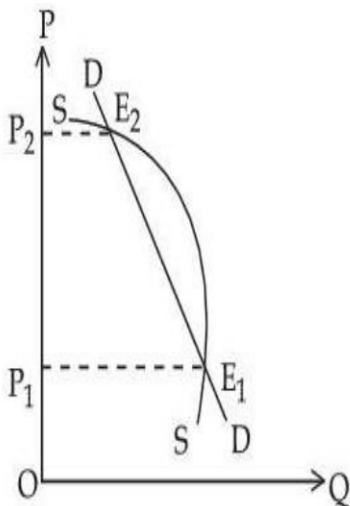
Q149. In case of two perfect complement goods, which following statement is not true? [December 2023 S1 · Q.80]

- (1) The substitution effect is zero.
- (2) The indifference curves are straight lines.
- (3) The indifference curves are L shaped
- (4) The goods are always demanded in fixed proportions.

Q150. In a market for labour's demand and supply, the equilibrium wage is w^* . The government fixes a minimum wage at w' . Which of the following statements is true? [December 2023 S1 · Q.83]

- (1) There is a tendency of increased casualization of workers if $w' > w^*$, where the workers would not receive lots of benefits.
- (2) The market will now tend towards a new equilibrium at w' , with no other changes, if $w' > w^*$.
- (3) If $w' < w^*$, there will be a tendency of increased casualization of workers.
- (4) It will be impossible to administer such a legislation unless $w' = w^*$.

Q151. In the given figure, DD is the demand curve and SS is the supply curve in a market. Choose the right answer from the following. [December 2023 S1 · Q.84]



- (1) There is no stable equilibrium.
- (2) E2 is a stable equilibrium, though E1 is an unstable equilibrium
- (3) E1 is a stable equilibrium, though E2 is an unstable equilibrium
- (4) Both E1 & E2 are stable equilibria

Q152. Let $H = e^Q$ where $Q = A \cdot x^\alpha \cdot y^\beta$. Consider the following statements. [December 2023 S1 · Q.105]

- (A) Q is a homogeneous function for all values of α and β
- (B) H is a homothetic function for all values of α and β
- (C) Q is a homogeneous function only if $\alpha + \beta = 1$
- (D) H is not a homogeneous function
- (E) Q is not a homogeneous function

Choose the correct answer from the options given below:

- (1) (A) and (B) Only
- (2) (A), (B) and (D) Only
- (3) (C) and (A) Only
- (4) (E) and (D) Only

Q153. The following are five statements about short run cost curves. [December 2023 S1 · Q.107]

- (A) The Marginal Cost (MC) curve cuts both short run Average Cost (AC) curve and Average Variable Cost (AVC) curve at their lowest point.
- (B) The MC curve cuts AC curve from below, but nothing can be said about AVC curve.
- (C) The distance between Total Cost (TC) curve and Total Variable Cost (TVC) curve gets reduced as quantity increases.
- (D) The Average Fixed Cost (AFC) curve is asymptotic to the cost axis.
- (E) The AC curve is u-shaped.

Choose the correct answer from the options given below:

- (1) (A), (C), (D), (E) Only
- (2) (B), (C), (E) Only
- (3) (A), (E) Only
- (4) (D), (E), (A) Only

Q154. Suppose production function $q = f(k, l)$, is a homogeneous function of degree 1. Consider the following statements. [December 2023 S1 · Q.111]

- (A) The marginal products of capital and labour ($\partial q/\partial k$ and $\partial q/\partial l$) are homogeneous of degree 1.
- (B) The second order cross marginal products of k and l are equal (i.e., $\partial^2 q/\partial l \partial k = \partial^2 q/\partial k \partial l$).
- (C) By Euler's Theorem: $(\partial q/\partial k) \cdot k + (\partial q/\partial l) \cdot l = q$
- (D) By Euler's theorem: $(\partial^2 q/\partial k^2) \cdot k + (\partial^2 q/\partial l^2) \cdot l = 0$

Choose the correct answer from the options given below:

- (1) (A) and (B) Only
- (2) (A), (B) and (C) Only
- (3) (A), (C) and (D) Only
- (4) (B), (C) and (D) Only

Q155. Consider the following statements: Assume a consumer's choice is based on only 2 commodities i.e., $X \in \mathbb{R}^2_+$, where X is the set of all possible commodities which a consumer can conceive of: [December 2023 S1 · Q.113]

- (A) Monotonicity of preference implies strong monotonicity but not the other way round.
- (B) A preference relation is monotone if for all commodity bundle $x, y \in X$, $y \geq x$ and $y \neq x$; then $y \succeq x$.
- (C) A preference relation ($\succeq$) on X is strongly monotone if for all commodity bundles $x, y \in X$, $y \gg x$ and $y \neq x$; then $y \succeq x$.
- (D) A preference which is locally non satiated must follow monotonicity and strong monotonicity.

Choose the correct answer from the options given below:

- (1) (B) and (D) Only
- (2) (A), (B) and (D) Only
- (3) (A), (C) and (D) Only
- (4) (A) and (D) Only

Q156. Consider the following statements: [December 2023 S1 · Q.114]

- (A) If the 2 utility functions $u(x)$ and $b(x)$ are related by $u(x) = V(b(x))$, where $V'(\cdot) > 0$, then $V(x)$ is a utility function representing the same preference as $b(x)$.
- (B) If the 2 utility functions represents the same preference, the solutions to the consumer's utility maximization problem are the same with the 2 utility function but the indirect utility functions are different.
- (C) If the local non satiation assumption of preference is satisfied, any solution to the consumer's utility maximization problem satisfies the budget constraint with equality.
- (D) If the indirect utility function of $b(x)$ is homogenous of degree 0 then indirect utility function of $u(x) = V(b(x))$, where $V'(\cdot) > 0$, is a homogenous function of degree 1.

Choose the correct answer from the options given below:

- (1) (B) Only
(2) (A), (B) and (D) Only
(3) (A), (B) and (C) Only
(4) (B), (C) and (D) Only

Q157. Match List - I with List - II. [December 2023 S1 · Q.129]

List - I	List - II
(A) Shephard's Lemma	(I) Hidden types of agent
(B) Adverse Selection	(II) Envelope theorem
(C) Hotelling Lemma	(III) Indirect utility function
(D) Roy's Identity	(IV) Profit function

Choose the correct answer from the options given below:

- (1) (A)-(IV), (B)-(I), (C)-(II), (D)-(III)
(2) (A)-(II), (B)-(I), (C)-(IV), (D)-(III)
(3) (A)-(II), (B)-(I), (C)-(III), (D)-(IV)
(4) (A)-(II), (B)-(IV), (C)-(I), (D)-(III)

Passage / data for Q.141-145 (December 2023 S1)

Assume that there are 2 firms producing steel. There is a negative externality due to production causing pollution. Firm 1's output is q_1 and firm 2's is q_2 . Assume that the market price for steel is $P_s = 1$. Now consider two scenarios:

Scenario 1: Assume that firm 1's cost function is $C_1(q_1) = q_1^2$ and firm 2's cost function is $C_2(q_2, q_1) = (q_2 + 0.75q_1)^2$. In short, firm 1's production is not affected by firm 2 but firm 2's production is affected by firm 1, i.e., Firm 1's operation causes firm 2's costs to rise.

Scenario 2: Assume that negative externality works both ways i.e. both the firms face the adverse impact. So assume $C_1(q_1, q_2) = (q_1 + 0.75q_2)^2$ and $C_2(q_1, q_2) = (q_2 + 0.75q_1)^2$, i.e., Firm 1's operation causes firm 2's costs to rise and vice versa.

Q158. What is the equilibrium profit of firm 2 (π_2) in the short run, in Scenario 1? [December 2023 S1 · Q.141]

- (1) $\pi_2 = 0.025$
(2) $\pi_2 = 0.125$
(3) $\pi_2 = -0.125$
(4) $\pi_2 = 0.75$

Q159. What is the long run profit of firm 1 (π_1), in Scenario 1? [December 2023 S1 · Q.142]

- (1) $\pi_1 = 0.025$
(2) $\pi_1 = 0$
(3) $\pi_1 = 0.25$
(4) $\pi_1 = 0.125$

Q160. What is the long run profit of firm 2 (π_2), in Scenario 1? [December 2023 S1 · Q.143]

- (1) $\pi_2 = 0.125$
- (2) $\pi_2 = 0.120$
- (3) $\pi_2 = 0.5$
- (4) $\pi_2 = 0$

Q161. What would be the market equilibrium profit of the 2 firms, in Scenario 2? [December 2023 S1 · Q.144]

- (1) $\pi_1 = 1/28, \pi_2 = 1/28$
- (2) $\pi_1 = 2/7, \pi_2 = 2/7$
- (3) $\pi_1 = 1/14, \pi_2 = 1/14$
- (4) $\pi_1 = \pi_2 = 0$

Q162. Do you think that the equilibrium outcome for Scenario 2 is inefficient? How would the efficiency be restored? [December 2023 S1 · Q.145]

- (1) No, the equilibrium outcome of the firms are profit minimizing outcome.
- (2) The externality can be resolved by closing down both the firms i.e., $\pi_1 = \pi_2 = 0$
- (3) If one of the firm is forced to close down, the externality will be reduced and their joint profit is $\pi_1 + \pi_2 = 0.071$
- (4) If one of the firm is forced to close down, the externality will be reduced and their joint profit is $\pi_1 + \pi_2 = 0.109$

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Q163. Which of the following is not an assumption of Coase theorem related to externalities and environmental problems? [August 2024 S1 · Q.60]

- (1) Absence of transaction costs
- (2) Presence of income effect
- (3) Complete information
- (4) Complete property rights

Q164. The Nash equilibrium of the following game (Player P-1 chooses rows A1, A2, A3; Player P-2 chooses columns B1, B2, B3) is given by: [August 2024 S1 · Q.67]

P-1 \ P-2	B1	B2	B3
A1	4, 2	2, 1	5, 0
A2	3, 5	3, 2	3, 4
A3	5, 2	4, 4	3, 1

- (1) The strategy combination (A3, B2) with outcome (4, 4)
- (2) The strategy combination (A3, B1) with outcome (5, 2)
- (3) The strategy combination (A1, B2) with outcome (2, 1)
- (4) The strategy combination (A3, B2) with outcome (3, 1)

Q165. Suppose $Q = 20/P$ and $P \leq 10$, $MC = 1$, then profit maximising price and quantity will be:

[August 2024 S1 · Q.70]

- (1) $P = 20$, $Q = 4$
- (2) $P = 5$, $Q = 4$
- (3) $P = 10$, $Q = 2$
- (4) $P = 4$, $Q = 5$

Q166. For the demand function of good x, $Q_d = f(P_x, P_y, M)$, the sum of own price elasticity, cross price elasticity and income elasticity of demand would be: [August 2024 S1 · Q.73]

- (1) one
- (2) zero
- (3) two
- (4) n , where $n > 1$

Q167. As per Walras' law the sum of excess demand for money, bonds and current output must be equal to _____. [August 2024 S1 · Q.74]

- (1) one
- (2) zero
- (3) more than one
- (4) less than one

Q168. The production function $Q = LK/(L + K)$ is: [August 2024 S1 · Q.78]

- (1) Homogenous of degree 1
- (2) Homogenous of degree 0
- (3) Homogenous of degree 2
- (4) Homogenous of degree $1/2$

Q169. In the Cobb-Douglas production function $q = A \cdot L^\alpha \cdot K^\beta$, where A , α and β are all positive, the parameters α and β measure: [August 2024 S1 · Q.90]

- (1) Output elasticities of inputs
- (2) Elasticity of substitution
- (3) Input price of output
- (4) Technological condition

Q170. Arrange the following items in order of their construction starting from the first stage to the last stage: [August 2024 S1 · Q.101]

- (A) Budget
- (B) Utility analysis
- (C) Demand curve analysis
- (D) Indifference curve analysis
- (E) Consumer's equilibrium

Choose the correct answer from the options given below:

- (1) (D), (B), (A), (E), (C)
- (2) (A), (B), (C), (D), (E)
- (3) (B), (D), (E), (C), (A)
- (4) (B), (D), (A), (E), (C)

Q171. Identify the correct statements from below: [August 2024 S1 · Q.114]

- (A) When price consumption curve (PCC) for a good is parallel to horizontal axis, the demand function for the good is unitary elastic.
- (B) Given $\log D = \alpha + \beta \log y + \gamma \log p$, then elasticity of $\log D$ with respect to $\log p$ is γ
- (C) The condition for stability in simple Keynesian system is $0 < MPC < 1$
- (D) The fixed cost curve is a rectangular hyperbola

Choose the correct answer from the options given below:

- (1) (A), (C) only
- (2) (A), (C), (D) only
- (3) (A), (B), (C) only
- (4) (A), (B), (C), (D)

Q172. Consider the following statements: [August 2024 S1 · Q.115]

- (A) If a market generates a side effect or externality then the market solutions are inefficient.
- (B) If a market is efficient, then the quantity produced in the market maximise both producer's and consumer's surplus.
- (C) Consumer's surplus is the buyer's WTP minus the seller's cost.
- (D) Smith's invisible hand concept implies that competitive market outcome generates equity among the members in the society.
- (E) Competitive market equilibrium is Pareto efficient.

Choose the correct answer from the options given below:

- (1) (A), (B), (E) only
- (2) (A), (B), (D) only
- (3) (A), (E) only
- (4) (B), (D), (E) only

Q173. Consider the following statements: [August 2024 S1 · Q.124]

- (A) MC schedule is obtained by subtracting successive values of TC only
- (B) MC schedule is obtained by subtracting successive values of either TC or TVC
- (C) MC schedule is obtained by subtracting successive values of either TVC or TFC
- (D) The area under the MC curve equals TC
- (E) AVC equals AC minus AFC

Choose the correct answer from the options given below:

- (1) (B), (D), (E) only
- (2) (A), (D), (E) only
- (3) (A), (C), (D), (E) only
- (4) (A), (C), (D) only

Q174. Match List - I with List - II. [August 2024 S1 · Q.127]

List - I	List - II
(A) Top beneficiary from Foreign exchange trading	(I) John Von Neuman and Oscar Morgenstern
(B) Competitive equilibrium is Pareto efficient	(II) General equilibrium analysis
(C) Walras	(III) London
(D) Game Theory	(IV) First theorem of welfare economics

Choose the correct answer from the options given below:

- (1) (A)-(II), (B)-(III), (C)-(I), (D)-(IV)
- (2) (A)-(IV), (B)-(III), (C)-(II), (D)-(I)
- (3) (A)-(I), (B)-(II), (C)-(III), (D)-(IV)
- (4) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)

Q175. Match List - I with List - II. [August 2024 S1 · Q.135]

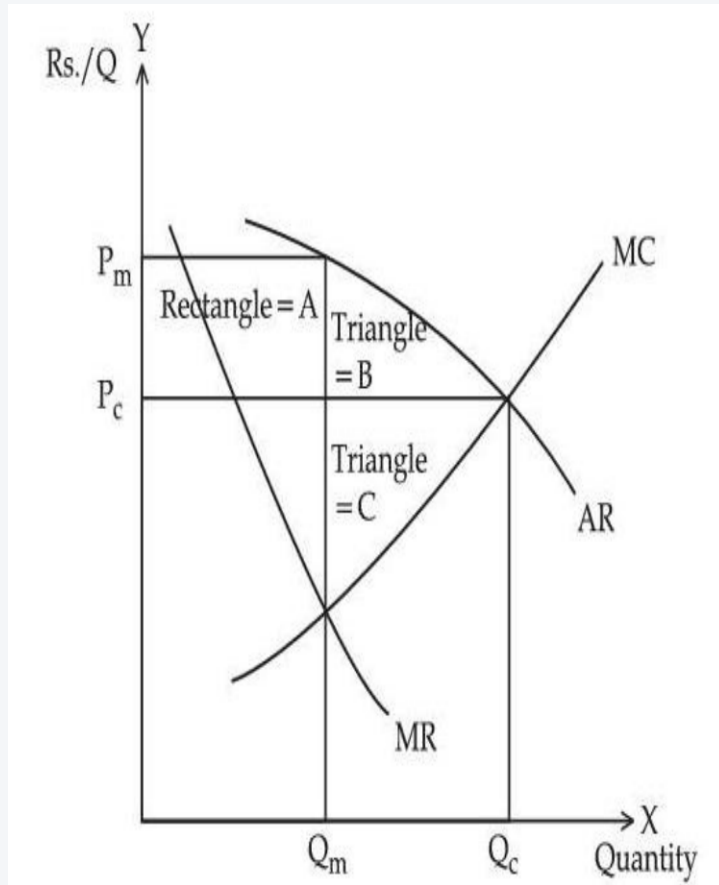
List - I	List - II
(A) Monopoly theory of distribution	(I) Walker
(B) Theory of profit	(II) Robinson
(C) Full cost pricing	(III) Kalecki
(D) Modern theory of rent	(IV) Hall and Hitch

Choose the correct answer from the options given below:

- (1) (A)-(II), (B)-(III), (C)-(I), (D)-(IV)
- (2) (A)-(III), (B)-(I), (C)-(IV), (D)-(II)
- (3) (A)-(III), (B)-(IV), (C)-(II), (D)-(I)
- (4) (A)-(IV), (B)-(III), (C)-(II), (D)-(I)

Passage / data for Q.141-145 (August 2024 S1)

Consider the following diagram: Social Costs of Monopoly Power



Here (i) X-axis measures quantity; (ii) Y-axis measures price per unit (Rs/Q); (iii) P_c = competitive price; (iv) P_m = Monopoly price; (v) Q_c = competitive output; (vi) Q_m = monopoly output. Rectangle = A, Triangle = B, Triangle = C.

Q176. Find out the consumer loss because of moving from competitive to monopoly price (from P_c to P_m) from the following alternatives: [August 2024 S1 · Q.141]

- (1) A and C
- (2) A and B
- (3) B and C
- (4) A only

Q177. Choose the correct answer from the following alternatives: [August 2024 S1 · Q.142]

- (1) Monopoly output is environment friendly comparative to competitive output
- (2) Competitive output is environment friendly comparative to monopoly output
- (3) Both (1) and (2) are equally harmful
- (4) Both (1) and (2) are environmental friendly equally

Q178. As a result of higher price, the producer gains and at the same time loses by amount respectively as shown below. Find out the correct answer from the following alternatives: [August 2024 S1 · Q.143]

- (1) B, A
- (2) B, C
- (3) A, C
- (4) A only

Q179. Because of higher price (from P_c to P_m), find out the producer gains (producer surplus) from the following alternatives: [August 2024 S1 · Q.144]

- (1) $A + C$
- (2) $A - C$
- (3) $A + B$
- (4) $B + C$

Q180. Dead weight loss from the monopoly power is one of the following alternatives. Choose the correct one: [August 2024 S1 · Q.145]

- (1) $A + B$
- (2) $A + C$
- (3) A
- (4) $B + C$

Q181. Find out the correct alternative - Scitovsky double criterion [December 2024 · Q.55]

- (1) does not require the fulfilment of Kaldor - Hicks Welfare criterion test.
- (2) requires only the fulfilment of reversal test
- (3) does not require the fulfilment of reversal test
- (4) requires the fulfilment of Kaldor - Hicks test and reversal test

Q182. For the production function, $Q = A \cdot K^\alpha \cdot L^\beta$, where $A, \alpha, \beta > 0$, which of the following statement(s) are correct? [December 2024 · Q.60]

- (A) Degree of homogeneity is 1
- (B) Output elasticity with respect to capital is α
- (C) It exhibits constant returns to scale
- (D) Marginal product of a factor = Average product of the factor

Choose the correct answer from the options given below:

- (1) A & B Only
- (2) B & C Only
- (3) B & D Only
- (4) B Only

Q183. The basis of consumer surplus in Marshallian utility analysis is - [December 2024 · Q.69]

- (1) Law of equi-marginal utility
- (2) Law of proportions
- (3) Law of diminishing marginal utility
- (4) Law of demand

Q184. Consider the following statements: [December 2024 · Q.70]

- (A) Price leadership equilibrium strategy is a Nash equilibrium strategy
- (B) Bertrand equilibrium strategy is a Nash equilibrium strategy
- (C) Stackelberg equilibrium strategy is a Nash equilibrium strategy
- (D) Monopoly equilibrium strategy is a Nash equilibrium strategy
- (E) Cournot's equilibrium strategy is a Nash equilibrium strategy

Choose the correct answer from the options given below:

- (1) A Only
- (2) B Only
- (3) A, B, C, E Only
- (4) D & E Only

Q185. Find out the correct answer about the 'Pigovian Tax'. [December 2024 · Q.80]

- (A) Provides solution in order to internalise the total cost of an activity into the market.
- (B) Provides solution to reduce the production of pollutants through public policy
- (C) It helps in increasing the factor productivity in the real sector.
- (D) It acts like a revenue tax

Choose the correct answer from the options given below:

- (1) A, B Only
- (2) C, D Only
- (3) A Only
- (4) A, B, D Only

Q186. Read the example given below and find out the correct choice compatible from among the alternatives: [December 2024 · Q.84]

If a professor assigns only letter grades to an exam, we know that a student who receives a grade of 'A' did better than a student who receives a 'B', but we cannot say how much better from that ordinal scale. Nor can we tell whether the difference in preference between an 'A' student and a 'B' student and a 'C' student.

- (1) Marshallian utility analysis
- (2) Revealed preference analysis
- (3) Slutsky equation
- (4) Indifference curve analysis

Q187. In a market model with a 'lagged' supply function, lagging by one time period, the convergence of the time path of price towards the equilibrium price depends on [December 2024 · Q.87]

- (1) Whether slope of supply function > slope of demand function
- (2) Whether slope of supply function < slope of demand function
- (3) Whether slope of supply function = slope of demand function
- (4) Has nothing to do with the slopes of demand and/or supply functions.

Q188. Match LIST-I with LIST-II [December 2024 · Q.91]

List - I	List - II
(A) von Neumann and Oscar Morgenstern	(I) Tit-for-tat strategy
(B) Axelrod	(II) Theory of Games and Economic Behaviour
(C) Stackelberg leadership model	(III) Nash equilibrium
(D) Single-shot game	(IV) Cheating

Choose the correct answer from the options given below:

- (1) A-I, B-II, C-III, D-IV
- (2) A-II, B-I, C-IV, D-III
- (3) A-IV, B-III, C-II, D-I
- (4) A-II, B-I, C-III, D-IV

Q189. Choose the feature which does not fit with the features of monopolistic competition.

[December 2024 · Q.101]

- (1) Firms have little control over price
- (2) Perfect mobility of factors of production
- (3) Products are differentiated
- (4) Factor prices and technology are given

Q190. Match LIST-I with LIST-II [December 2024 · Q.102]

List - I	List - II
(A) Positive externality in consumption	(I) Riding a noisy motor cycle at mid-night
(B) Positive externality in Production	(II) Honey cultivation near a flower garden
(C) Negative externality in consumption	(III) Paper mill dumping waste into river
(D) Negative externality in Production	(IV) Sanitisation of a house

Choose the correct answer from the options given below:

- (1) A-IV, B-II, C-I, D-III
- (2) A-I, B-IV, C-II, D-III
- (3) A-I, B-IV, C-III, D-II
- (4) A-IV, B-III, C-II, D-I

Q191. A tangency point between non-linear isoquant and an isocost line identifies - [December 2024 · Q.106]

- (1) the point of production efficiency where a firm can produce a derived output at the minimum possible cost.
- (2) the various levels of output that can be produced using a given level of inputs.
- (3) the various combinations of inputs that can be used to produce a given level of output.
- (4) the least costly combination of inputs required to produce various levels of output.

Q192. Match LIST-I with LIST-II [December 2024 · Q.107]

List - I	List - II
(A) Perfectly Competitive Model	(I) The producers first set the price of the product and then produce the output demanded at that price
(B) Bertrand Model	(II) It recognises the concept of interdependence among firms
(C) Stackelberg Model	(III) Large number of buyers and sellers
(D) Oligopoly Model	(IV) Few competing firms in the market

Choose the correct answer from the options given below:

- (1) A-III, B-I, C-II, D-IV
- (2) A-I, B-II, C-III, D-IV
- (3) A-II, B-I, C-III, D-IV
- (4) A-III, B-II, C-IV, D-I

Q193. Given the CES production function $y = [a_1 \cdot x_1^\rho + a_2 \cdot x_2^\rho]^\rho$ (as printed), the elasticity of substitution between factors is [December 2024 · Q.109]

- (1) 1
- (2) ρ
- (3) $1/\rho$
- (4) $1/(1 - \rho)$

Q194. Asymmetric information in the Lemons Market results in: [December 2024 · Q.118]

- (A) Gradual fall of average price.
- (B) Gradual withdrawal of better quality products.
- (C) Adverse selection by one of the parties
- (D) Gradual withdrawal of inferior quality products.

Choose the correct answer from the options given below:

- (1) A Only
- (2) A, C Only
- (3) A, B, D Only
- (4) A, B, C Only

Q195. The marginal revenue of a firm is Rs. 10 and the price it charges per unit is Rs. 30. Assuming that the firm is a profit maximiser, what is the own price elasticity of demand for the firm at that point of profit maximisation? [December 2024 · Q.124]

- (1) 1.5
- (2) -1.5
- (3) -0.66
- (4) 0.66

Q196. Walras law states that if $N - 1$ markets are in equilibrium, then we can get equilibrium price / prices in: [December 2024 · Q.128]

- (1) Nth market
- (2) $2N$ markets
- (3) $N - 3$ markets
- (4) $N - 4$ markets

Q197. In the presence of externality, Coase theorem argues: [December 2024 · Q.132]

- (1) Social optimum can be attained only through government's intervention
- (2) Social optimum can also be attained by mutual agreement between the private parties
- (3) Income effect and transaction costs are to be considered always.
- (4) Property right cannot be assigned to any party

Q198. Arrange the following from earlier to present [December 2024 · Q.134]

- (A) John F. Nash
- (B) Von Neumann and Oscar Morgenstern
- (C) Robert Axelrod
- (D) Paul Milgrom
- (E) John Maynard Smith

Choose the correct answer from the options given below:

- (1) A, B, C, D, E
- (2) A, C, B, D, E
- (3) A, D, B, C, E
- (4) B, A, C, E, D

Passage / data for Q.141-145 (December 2024)

Consider the following Prisoners' Dilemma Games. Table: Safety Investment Game. Read the payoff matrix and answer the following.

Table : Safety Investment Game

		Firm-2	
		No Investment	Investment
Firm-1	No Investment	\$200 \$200	\$100 \$250
	Investment	\$250 \$100	\$225 \$225

Q199. Find the correct alternative. Safety investment by one firm of the two firm industry [December 2024 · Q.141]

- (1) increases workers' wages in the firm which has not invested
- (2) increases workers' wages in the firm which has made investment
- (3) decreases workers' wages in the firm which has made investment
- (4) decreases wages of workers in both the firms

Q200. Find out the correct alternative: Nash equilibrium occurs when both firms earn - [December 2024 · Q.142]

- (1) (\$200, \$200)
- (2) (\$225, \$225)
- (3) (\$100, \$250)
- (4) (\$225, \$100)

Q201. Find the correct alternative. In this game, the underinvestment problem can be avoided if -

[December 2024 · Q.143]

- (1) One firm invests and the other firm does not
- (2) the government sets safety standards that will force both the firms to invest
- (3) both invest
- (4) none invests

Q202. Find the correct alternative. Investment by both firms [December 2024 · Q.144]

- (1) is an equilibrium
- (2) is a partial equilibrium
- (3) is not an equilibrium
- (4) is a Nash equilibrium

Q203. Find the correct alternative. Safety investment by one firm in the industry [December 2024 ·

Q.145]

- (1) increases safety of both the firms
- (2) increases safety of the firm which has made investment
- (3) Cannot ensure safety to the industry as a whole
- (4) Increases safety to the firm which has not invested

UGC NET June 2025 (29 June 2025, Shift 2)

Q204. If $Q = f(K, L)$ is a homogeneous production function of degree one, which of the following satisfies Euler's theorem? [June 2025 S2 · Q.51]

- (1) $(\partial Q/\partial K) + (\partial Q/\partial L) = Q$
- (2) $(\partial Q/\partial K) \cdot K + (\partial Q/\partial L) \cdot L = Q$
- (3) $(\partial Q/\partial K) \cdot K + (\partial Q/\partial L) \cdot L > 1$
- (4) $(\partial Q/\partial K) + (\partial Q/\partial L) = 1$

Q205. If the income effect is in the opposite direction as the substitution effect, but the substitution effect dominates, then the good is _____. [June 2025 S2 · Q.52]

- (1) Normal
- (2) Inferior but not giffen
- (3) Giffen
- (4) There is not enough information to answer

Q206. If both input and output markets are competitive and firms are profit maximizing, then in equilibrium each factor of production earns: [June 2025 S2 · Q.53]

- (1) An amount equal to the price of output times total output.
- (2) The amount allocated by political process
- (3) An equal share of output.
- (4) The value of its marginal product.

Q207. Which of the following game does not have any Nash Equilibrium? [June 2025 S2 · Q.54]

- (1) BoS Game
- (2) Stag Hunt Game
- (3) Matching Pennies Game
- (4) Prisoner's Dilemma

Q208. Given $U = (x + 2)(y + 1)$ and $P_x = 4$ and $P_y = 6$ and budget $(B) = 130$. Find the optimum levels of purchase of x^* and y^* . [June 2025 S2 · Q.69]

- (1) $x^* = 11, y^* = 16$
- (2) $x^* = 15, y^* = 28$
- (3) $x^* = 18, y^* = 8$
- (4) $x^* = 16, y^* = 11$

Q209. If the demand law is: $P = \sqrt{9 - x}$ and the demand is fixed at $x_0 = 5$. Find the consumer's surplus. [June 2025 S2 · Q.70]

- (1) $8/3$
- (2) $11/15$
- (3) $8/15$
- (4) $7/3$

Q210. A company has examined its costs and revenue structure and has determined that C - total cost, R - the total revenue and X - the number of units produced are related as: $C = 100 + 0.015X^2$ and $R = 3X$. Find the product level X that will maximize profit for this company. [June 2025 S2 · Q.73]

- (1) 120
- (2) 80
- (3) 150
- (4) 100

Q211. Lexicographic preference violates which of the following axioms of utility theory? [June 2025 S2 · Q.89]

- (1) Transitivity Axiom
- (2) Convexity Axiom
- (3) Continuity Axiom
- (4) Independence Axiom

Q212. Which of the followings are true pertaining to the problems of asymmetric information? [June 2025 S2 · Q.106]

- (A) Sellers can deal with the problem of asymmetric information by sending buyers signals about the quality of product.
- (B) If a seller of a product has better information about its quality than buyer, then bad products tend to drive good products out of the market.
- (C) According to the efficiency wage theory, a wage lower than the competitive wage increases worker productivity by discouraging workers from shirking on the job.
- (D) Adverse selection arises because of asymmetric information in insurance market.
- (E) Owners can avoid principal agent problem by designing contracts that give their agents incentive to perform better.

Choose the correct answer from the options given below:

- (1) A & B Only
- (2) A, B & C Only
- (3) B, C & D Only
- (4) A, B, D & E Only

Q213. Which of the following conditions are required for the set of consumers to exhibit parallel, straight wealth expansion paths at any price vector P? [June 2025 S2 · Q.107]

- (A) Preferences admit indirect utility function of the Gorman form.
- (B) Preferences are heterogeneous
- (C) Wealth is equally distributed among all consumers.
- (D) All consumers have identical preferences that are homothetic.
- (E) All consumers have preferences that are quasilinear with respect to the same good.

Choose the correct answer from the options given below:

- (1) A, B & C Only
- (2) A, D & E Only
- (3) B, C & D Only
- (4) A, B & D Only

Q214. Which of the followings are true regarding the outcome of a consumer's optimization process. [June 2025 S2 · Q.108]

- (A) The marginal utility per rupee spent on each good is the same.
- (B) The marginal rate of substitution between goods is equal to the ratio of the prices between the goods.
- (C) The consumer reaches the highest indifference curve in the indifference map.
- (D) The consumer indifference curve is tangent to his/her budget line.
- (E) From utility point of view, consumer is indifferent between any two points on his/her budget line.

Choose the correct answer from the options given below:

- (1) A, C & E Only
- (2) A, D & E Only
- (3) A, B & D Only
- (4) A, B, D & E Only

Q215. Consider the following payoff matrix (Player 1 chooses rows T, M, B; Player 2 chooses columns L, R): [June 2025 S2 · Q.113]

Player 1 \ Player 2	L	R
T	1, 5	0, 3
M	2, 6	1, 4
B	3, 7	2, 2

Which of the following statements are true about the above payoff matrix?

- (A) Player-1 has two strictly dominated strategies.
- (B) None of the strategies of player-2 are weakly dominated.
- (C) Strategy T weakly dominates strategy B.
- (D) Strategy M of Player-1 will never be used in Nash-equilibrium.
- (E) Strategy M strictly dominates strategy T.

Choose the correct answer from the options given below:

- (1) A, B, C & E Only
- (2) A, D & E Only
- (3) B, C & D Only
- (4) C, D & E Only

Q216. Which of the followings are true in case of externality? [June 2025 S2 · Q.117]

- (A) In case of externality, all costs and benefits associated with the goods are not internalized by households and firms involved in buying and productions.
- (B) Presence of externality results either under production or over production of the good.
- (C) Market based decision making yields an efficient outcome in the presence of externality.
- (D) In case of negative externality, the marginal social cost is higher than marginal cost.
- (E) Well defined property right can solve the problem of externality.

Choose the most appropriate answer from the options given below:

- (1) A, B, & D Only
- (2) B, D & E Only
- (3) A, B, D & E Only
- (4) B, C, D & E Only

Q217. Which of the followings statements correctly describe the concept of efficiency in environmental economics? [June 2025 S2 · Q.122]

- (A) An allocation is pareto efficient if no one can be made better off without making someone else worse off.
- (B) Efficiency ensures a fair and equitable distribution of resources among all individuals.
- (C) Market allocations are efficient only in the absence of market failures such as externalities.
- (D) Efficiency is a normative concept concerned with what should be done based on societal value.
- (E) Environmental policies that internalize externalities can improve efficiency.

Choose the most appropriate answer from the options given below:

- (1) A, B & D Only
- (2) A, B & E Only
- (3) A, C & E Only
- (4) B, C & D Only

Q218. According to Coase theorem, which of the following are possible outcomes of assigning property rights? [June 2025 S2 · Q.123]

- (A) The polluter pays the victim to continue polluting.
- (B) The victim pays the polluter to reduce pollution.
- (C) The government must set pollution taxes to ensure efficiency.
- (D) Market outcomes can achieve efficiency even if externalities exist.
- (E) The polluter and victim always have equal bargaining power.

Choose the most appropriate answer from the options given below:

- (1) A, B & C Only
- (2) A, B & D Only
- (3) B, C & D Only
- (4) C, D & E Only

Q219. Match List-I with List-II: [June 2025 S2 · Q.126]

List - I	List - II
(A) Playing each strategy with probability	(I) Nash equilibrium
(B) Maximum payoff given the strategy of other	(II) Grim trigger strategy
(C) Long-run behavior	(III) Best response function
(D) Period of punishment is infinite	(IV) Mixed strategy

Choose the correct answer from the options given below:

- (1) A-II, B-III, C-IV, D-I
- (2) A-I, B-IV, C-III, D-II
- (3) A-III, B-II, C-IV, D-I
- (4) A-IV, B-III, C-I, D-II

Q220. Match List-I with List-II: [June 2025 S2 · Q.127]

List - I	List - II
(A) Income elasticity greater than one	(I) Substitute goods
(B) Positive cross price elasticity	(II) Inferior goods
(C) Downward sloping price consumption curve (PCC)	(III) Luxurious goods
(D) Negative income effect	(IV) Relative elastic demand

Choose the correct answer from the options given below:

- (1) A-IV, B-II, C-I, D-III
- (2) A-III, B-II, C-I, D-IV
- (3) A-IV, B-II, C-III, D-I
- (4) A-III, B-I, C-IV, D-II

Q221. Which one of the following holds true at equilibrium level of demand for labour by a perfectly competitive firm? [December 2025 · Q.64]

- (1) $VMPL < MRPL$
- (2) $VMPL = MRPL$
- (3) $VMPL > MRPL$
- (4) $VMPL + MRPL = W$

Q222. Given the demand function $Q = 100 - P - P^2$, the elasticity of demand (ed) at price $P = 5$ is:

[December 2025 · Q.65]

- (1) elastic
- (2) inelastic
- (3) unitary elastic
- (4) infinitely elastic

Q223. For Cobb-Douglas production function with two inputs, $Q = A \cdot K^\alpha \cdot L^\beta$ where $A > 0$, α and β are > 0 , the marginal products are: [December 2025 · Q.68]

- (A) $MPK = (\alpha/K) \cdot Q$
- (B) $MPK = (\beta/K) \cdot Q$
- (C) $MPL = (\alpha/L) \cdot Q$
- (D) $MPL = (\beta/L) \cdot Q$

Choose the correct answer from the options given below:

- (1) A and C only
- (2) A and D only
- (3) B and C only
- (4) B and D only

Q224. Given below are two statements: one is labelled as Assertion (A) and the other is labelled as Reason (R). [December 2025 · Q.80]

Assertion (A): When everyone trades in the competitive market place, all mutually beneficial trades are completed and the resulting equilibrium allocation of resources are economically efficient.

Reason (R): Even if a trade from an inefficient allocation makes everyone better off, the new allocation is not necessarily efficient.

In the light of the above statements, choose the most appropriate answer from the options given below:

- (1) Both (A) and (R) are correct and (R) is the correct explanation of (A)
- (2) Both (A) and (R) are correct but (R) is not the correct explanation of (A)
- (3) (A) is correct but (R) is not correct
- (4) (A) is not correct but (R) is correct

Q225. A natural monopoly occurs when: [December 2025 · Q.92]

- (1) Average cost keeps on rising with increase in output over the relevant range of output.
- (2) Average cost remains constant with increase in output over the relevant range of output.
- (3) Average cost first decreases and then rises with increase in output over the relevant range of output.
- (4) Average cost keeps on decreasing with increase in output over the relevant range of output.

Q226. Given the demand function $P = 80 - 3Q$ and cost function $TC = 120 + 8Q$: [December 2025 · Q.94]

- (A) Maximum Revenue occurs at $Q = 12$
- (B) Maximum Revenue occurs at $Q = 3$
- (C) Maximum Revenue is 528
- (D) Maximum Revenue is 213

Choose the correct answer from the options given below:

- (1) A and C only
- (2) A and D only
- (3) B and C only
- (4) B and D only

Q227. The Coasian Bargaining Approach will work when: [December 2025 · Q.96]

- (A) The rights of the bargaining parties are transferable
- (B) The bargaining parties are equally informed
- (C) The property rights are legally established
- (D) The resources are universally owned

Choose the correct answer from the options given below:

- (1) A and D only
- (2) B and D only
- (3) B and C only
- (4) A and C only

Q228. Welfare criterion based on compensation payments is known as: [December 2025 · Q.108]

- (1) Dalton-Friedman Compensation Criterion
- (2) Amartya Sen Compensation Criterion
- (3) Pareto-Bains Compensation Criterion
- (4) Kaldor-Hicks Compensation Criterion

Q229. Arrange the following theories in a chronological order. [December 2025 · Q.123]

- (A) Theory of limit pricing (Bain's Model)
- (B) Logical ordering theory of demand given by J.R. Hicks
- (C) Cardinal utility theory of demand
- (D) Walras theory of general equilibrium

Choose the correct answer from the options given below:

- (1) D, C, A, B
- (2) B, C, A, D
- (3) A, B, D, C
- (4) D, B, C, A

Q230. In a situation of decline in price of a Giffen Commodity, we find: [December 2025 · Q.128]

- (1) positive substitution effect is less than negative income effect
- (2) positive substitution effect is more than negative income effect
- (3) negative substitution effect is more than positive income effect
- (4) negative substitution effect is less than positive income effect

Q231. Kinked-Demand model of oligopoly was developed by which of the following? [December 2025 · Q.130]

- (1) Chamberlin
- (2) Bertrand
- (3) Stackelberg
- (4) Sweezy

Q232. Match List - I with List - II. [December 2025 · Q.132]

List - I	List - II
(A)	ed
(B) es for supply function $S = -25 + 5P$, at $P = 10$	(II) 4
(C) The value of MR when $P = 8$ and $ed = 4$	(III) 3
(D) The value of MPPL when $VMPL = 12$ and $P = 3$	(IV) 2

Choose the correct answer from the options given below:

- (1) A-III, B-IV, C-I, D-II
- (2) A-II, B-III, C-I, D-IV
- (3) A-I, B-IV, C-II, D-III
- (4) A-III, B-I, C-IV, D-II

Q233. Which one of the following production function exhibits decreasing returns to scale?

[December 2025 · Q.134]

- (1) $A \cdot K^{1/4} \cdot \sqrt{L}$
- (2) $A \cdot K^{\alpha} \cdot L^{1-\alpha}$
- (3) $A(3K + 5L)$
- (4) $A \cdot \sqrt{(K \cdot L^3)}$

Q234. For analysing effective rent control in the housing sector: [December 2025 · Q.138]

- (A) The shortage of housing is small in the short run compared to the long run.
- (B) The shortage of housing is large in the short run compared to the long run.
- (C) The effective rent control exists when a government places an effective price floor on rent.
- (D) The effective rent control exists when a government places an effective price ceiling on rent.

Choose the correct answer from the options given below:

- (1) A and C only
- (2) B and C only
- (3) A and D only
- (4) B and D only

Q235. Monopoly Power is explained by which of the following? [December 2025 · Q.139]

- (1) $(P - MC)/P$
- (2) $(P + MC)/P$
- (3) $(P - AC)/P$
- (4) $(P + AC)/P$